

الهيئة الاتحادية للضرائب
FEDERAL TAX AUTHORITY



UAE Tax Ecosystem Institutional Excellence Driving Financial Sustainability

Annual Report

2025



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"The United Arab Emirates believes that the economy offers the best way to achieve peace, security and progress"

**President His Highness
Sheikh Mohamed bin Zayed Al Nahyan**



"The tax system is a key part of
our economic foundation for
the future"

His Highness Sheikh Mohammed bin Rashid Al Maktoum
Vice President and Prime Minister of the UAE
and Ruler of Dubai

A Resilient Tax Ecosystem for a More Sustainable Economy



At a time of accelerating transformation and a fundamental reshaping of the regional and global economic landscape, the United Arab Emirates continues to demonstrate that clarity of vision and strength of approach are the true foundations of stability and growth. We do not view change as a series of passing challenges; rather, we see it as an opportunity to rebuild on stronger, more efficient, and more resilient foundations. Against this backdrop, our tax ecosystem continues to reinforce its role as one of the strategic pillars underpinning financial sustainability, enhancing the competitiveness of the national economy, and maintaining its achievements in an increasingly uncertain global environment.

The year 2025 marked a pivotal milestone, during which the Federal Tax Authority advanced from a phase of institutional enablement to one of institutional maturity. This transition was driven by the acceleration of digital transformation, the entrenchment of voluntary compliance as a deeply embedded culture, and the development of an intelligent tax ecosystem capable of anticipating challenges and embracing the future.

Mindful of the sensitivity of the current regional landscape, we firmly believe that economic stability begins with strong institutions, fair systems, and the efficient management of resources. Guided by this conviction, the Authority continued to strengthen its supervisory and legislative frameworks and deepen its strategic partnerships, ensuring a tax environment characterised by transparency and agility that supports sustainable growth pathways.

This vision has been clearly reflected in the results achieved. The UAE's tax ecosystem witnessed a qualitative expansion in the customer base and a tangible improvement in compliance levels, supported by advanced digital solutions that simplified procedures and accelerated service delivery. The Authority also enhanced the effectiveness of field oversight and leveraged predictive technologies to protect markets, uphold tax fairness, and strengthen trust between the Authority and the business community.

The Authority also intensified its focus on advancing the legislative environment and aligning with international best practices, thereby enhancing the UAE's readiness to respond to global economic transformations and reinforcing its position as an agile and influential international financial centre. This has been pursued in parallel with the establishment of high-impact strategic partnerships that contribute to the integration of national efforts and the enhancement of data exchange efficiency, creating added value for the national economy.

Our ambition extends beyond achieving efficiency. We aspire to global leadership in the design and implementation of tax systems that reflect the UAE's standing as a model of excellence in balancing economic growth with financial sustainability. Guided by the vision of our wise leadership, we will continue to move forward with confidence in building a smarter and more agile tax ecosystem, one that is capable of transforming challenges into achievements and laying the foundations for a more stable and prosperous economic future.

H.H. Sheikh Maktoum bin Mohammed bin Rashid Al Maktoum

First Deputy Ruler of Dubai

Deputy Prime Minister

Minister of Finance

and Chairman of the Board of Directors of the Federal Tax Authority (FTA)

Performance Efficiency and Sustainable Impact: Defining the Transformation of the Tax Journey



The year 2025 marked a defining milestone in the continued evolution of the UAE's tax ecosystem. Throughout the year, the Federal Tax Authority translated its strategic priorities into tangible operational outcomes that reflected a high level of efficiency, institutional readiness, and an enhanced capacity to manage an integrated tax ecosystem with both effectiveness and sustainability.

During the year, the Authority achieved an unprecedented leap in operational efficiency, successfully processing more than 1.7 million transactions through the Tax Registration Department, representing growth of more than 20 per cent. Yet our ambition extends well beyond revenue collection. We have remained firmly focused on advancing our Zero Bureaucracy agenda through the deployment of Robotic Process Automation (RPA) and artificial intelligence technologies, reducing service completion times from 45 minutes to only 10 minutes. This achievement reflects our enduring commitment to delivering an exceptional and seamless customer experience.

Our greatest source of pride lies in strengthening the culture of voluntary compliance. We witnessed exceptional levels of commitment from the business community, particularly through the successful implementation of Corporate Tax, which achieved an overall completion rate of 95 per cent. At the same time, we continued to deepen our partnership with the community through the Muwafaq Package, designed to support small and medium-sized enterprises, which surpassed 73,000 registrants. This reflects

our conviction that the success of our partners constitutes a fundamental pillar of the sustainability of our national resources.

The achievements realised by the Authority extend far beyond procedural success; they represent a profound transformation in our role as a strategic partner in driving economic growth. We invested significantly in developing our national talent and equipping them with advanced future-foresight capabilities, enabling us to build a resilient and adaptive ecosystem capable of responding to global economic shifts while safeguarding the sustainability of financial resources for future generations and upholding the highest standards of transparency and institutional integrity.

As the Authority receives the "Innovative Government Organization" certification and renews its international accreditations in innovation and institutional agility, we reaffirm our unwavering commitment to shaping the future. We will continue to work with one team and one vision to further strengthen the UAE's position as a leading global destination for investment, deepen our partnership with the private sector, and jointly shape a fully digital tax future that enhances the competitiveness of the United Arab Emirates and reinforces its standing as a leading global financial centre.

H.E. Abdulaziz Mohammed Al Mulla

Director General of the Federal Tax Authority (FTA)

Board of Directors

H.H. Sheikh Maktoum bin Mohammed bin Rashid Al Maktoum

Chairman of the Board of Directors of the Federal Tax Authority

H.E. Mohamed bin Hadi Al Hussaini

Vice Chairman of the Board of Directors

Board Members

H.E. Abdulrahman Saleh
Al Saleh

Sheikh Dr. Mohammed bin
Abdullah Al Nuaimi

H.E. Younis Haji
Al Khoori

H.E. Ahmed bin Lahej
Al Falasi

H.E. Sultan Ahmed
bin Sulayem

H.E. Rashid Lahej
Al Mansouri

H.E. Walid Ibrahim
Al Sayegh

H.E. Salem Sultan
Al Owais

H.E. Dr. Mohammed Saif
Al Talay

H.E. Saeed Rashid
Al Yateem

H.E. Ahmed Obaid
Al Dhaheiri

H.E. Buthaina Abdullah
Al Mazrouei

Mrs. Reem Abdulrahman
Al Anbari

Mrs. Maryam Abdullah
Al Matroushi

Ms. Fatima Farouk
Al Sheikh

Ms. Maitha Thani
Al-Hammadi

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About FTA: Vision and UAE Tax Ecosystem

A Pillar of Financial Sustainability

The Federal Tax Authority (FTA), established pursuant to Federal Decree-Law No. (13) of 2016, serves as the cornerstone of the UAE's tax system. It operates under the oversight of a Board of Directors, chaired by His Highness, the Minister of Finance, which is responsible for setting the Authority's strategic direction, formulating its general policies, and overseeing their implementation. The FTA is committed to ensuring the sustainability of government financial resources and developing a world-class tax sector that promotes voluntary compliance through streamlined, transparent, and digitally enabled procedures.

The Authority remains committed to applying tax legislation with integrity and fairness to strengthen the UAE's investment attractiveness. It also continues to enhance quality of life by implementing tax policies that contribute to protecting public health and the environment, reinforcing its role as a strategic partner in advancing the nation's sustainable development agenda.



Vision

A world-leading tax authority in collecting tax revenues and instilling a culture of voluntary compliance to support financial sustainability.



Mission

Administering, collecting and enforcing federal taxes, applying tax procedures efficiently and effectively, and increasing voluntary compliance and tax awareness.



Core Values



Integrity

Do what is right without fear or favor in all circumstances.



Trust

Promoting firm belief in the reliability of services offered amongst taxpayers.



Confidentiality

Keeping taxpayers' data confidential.



Proactivity

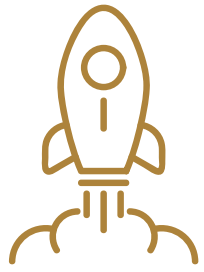
Taking the initiative to adopt newer ways of working in an agile manner.



Team Spirit

We work as a team to provide the best services and accomplish tasks and business.





Strategic Objectives

- Improving the efficiency of the tax system and easing the payment of taxes in the UAE.
- Enhancing tax compliance and mitigating tax evasion.



Enabler Objectives

- Attracting and empowering the best talents and providing efficient and effective services built on digital infrastructure.
- Enhancing innovative practices based on agility, proactivity and readiness within the work environment.

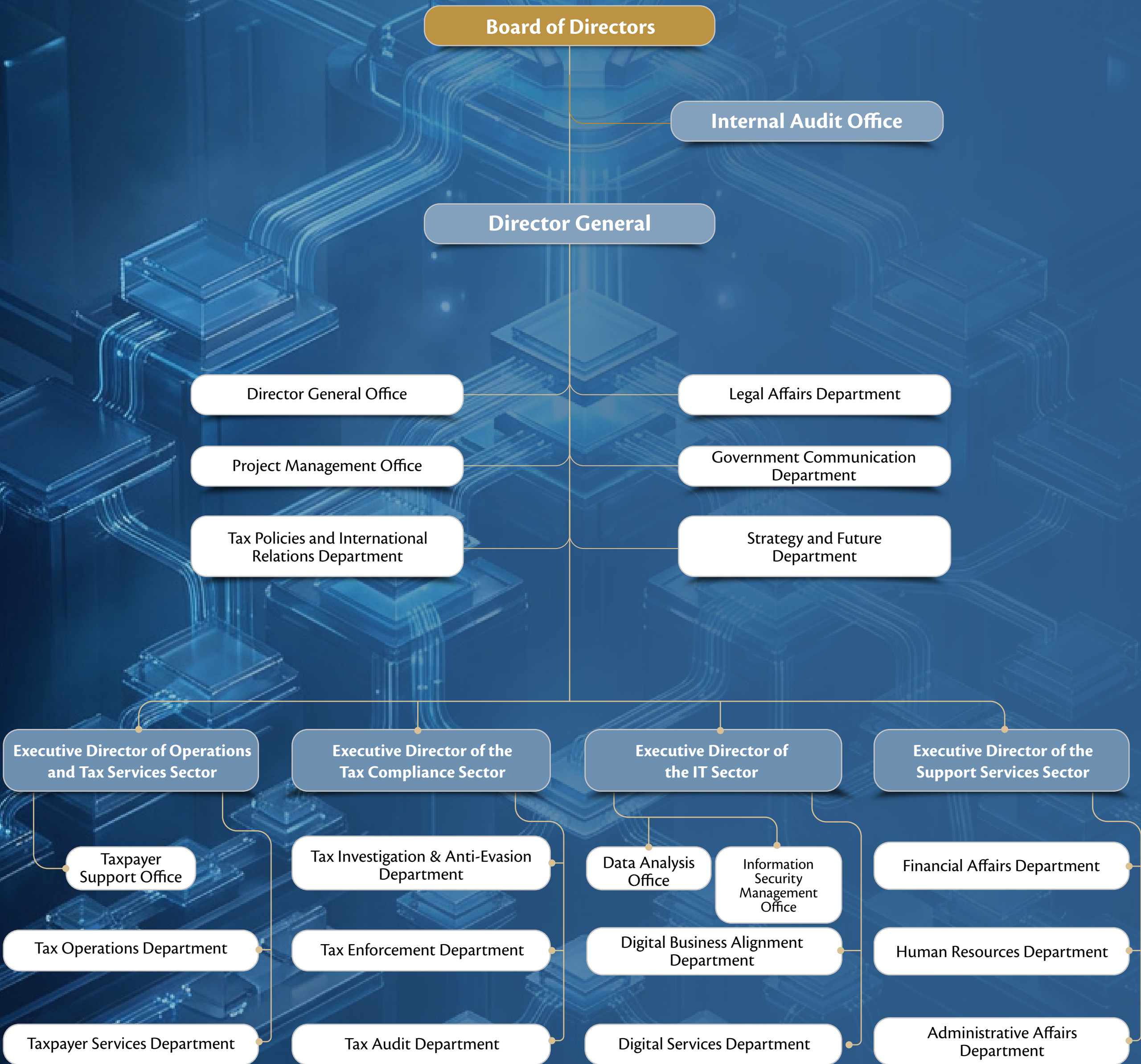


Main Objectives

- Develop and implement efficient tax policies and tax procedures.
- Develop a tax system for taxpayer registration, tax return filing, payments, and refunds based on a pre-emptive and flexible approach.
- Ensure that audit, collection, and tax enforcement programs are implemented efficiently and in accordance with the risk drivers.



Organizational Structure



Overview of Applicable Taxes in the UAE

A 5% consumption tax that is levied at each stage of the supply chain. While it is collected incrementally by businesses, the final economic burden is borne by the end consumer.

Value Added Tax (VAT)

Application year
2018

A tax that is levied at a rate of 9% on taxable income exceeding AED 375,000, while taxable income below this threshold is subject to a 0% corporate tax rate.

Corporate Tax

Application year
2023

A form of indirect tax imposed on specific goods that are typically harmful to human health or the environment. The tax applies to the following goods:

- ▶ 100% on tobacco products and their derivatives.
- ▶ 100% on electronic smoking devices and tools, and the liquids used in them.
- ▶ 100% on energy drinks.
- ▶ 50% on sweetened drinks and carbonated beverages until 31 December 2025. Effective from 1 January 2026, these products are subject to tax under the Tiered Volumetric Model, whereby a specific tax amount is imposed per litre based on the sugar or sweetener content of the sweetened beverage.

Excise Tax

Application year
2017

FTA in Numbers

Tax Achievement and Sustainable Transformation in 2025

In 2025, the UAE's tax ecosystem achieved an exceptional leap forward by expanding compliance oversight, accelerating intelligent digital transformation, and advancing its zero-bureaucracy agenda, achieving a balanced approach that strengthens compliance governance while supporting the agility and competitiveness of the business environment.

Registered Taxpayer Base and Tax Services

245,342

Corporate Tax registration applications processed.

98,071

Value Added Tax (VAT) registration applications processed.



Completion of
381,620

Value Added Tax (VAT) registration amendment requests, marking a 38.50% increase.



Registration of
73,213

Companies in the "Muwafaq" Package.

Approval of

319

Corporate Tax Agents , with 558 tax agent records amended.

Registration of

9,215

Products registered as excise goods in the Authority's database, with an increase of 6.19%.

Completion of

206

Excise Tax registration applications.

Issuance of

5,680

Registration certificates, with 72 licences granted to exhibition and conference service providers.

Registration of

28

New Designated Zones for Excise Tax purposes.

Digital Transformation



Review of
15,983

Corporate Tax registration applications entirely through the Robotic Process Automation (RPA) system.



209,767

Automated digital interactions completed by the AI-powered virtual assistant (Tara), representing a 35% increase.



40

Days to review refund applications submitted by visiting foreign businesses, down from 120 days (66% reduction in processing time).



14

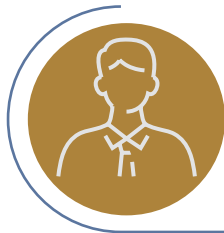
Flagship digital initiatives showcased at GITEX Global.



400,000

Taxpayers monitored and analysed using predictive analytics technologies.

Compliance and Inspections



175,501

Field inspection visits conducted by compliance teams to combat Excise Tax evasion and regularise the status of unregistered businesses.



Completion of
213

Specialised inspection campaigns for registration within Designated Zones for Excise Tax.



181

Joint inspection campaigns conducted in collaboration with strategic partners across the UAE.



34,342

VAT-related violations identified.



46%

Increase in tax audits and reviews to reinforce tax compliance.



29,500,000

Smuggled tobacco packs and 7.6 million non-compliant excise beverage packs seized in local market.

Customer Experience

Dispatch of

60,000,000

SMS and 5.7 million guidance and reminder emails to taxpayers.

Handling of

9,025

Taxpayer complaints and enquiries, with a 98% closure rate.

7,035

VAT refund applications processed under the UAE Nationals' Housing Construction Scheme, supporting family stability.

29,423

Reconsideration requests received and processed, representing a 24.8% increase.

90%

Customer happiness rate through the EmaraTax Customer Pulse Platform.

93%

Customer happiness rate across all service channels, based on 44,798 customer evaluations.

Human Capital

100%

Training coverage across all departments, with a 91% satisfaction rate for training programmes.

78%

Emiratisation rate, representing a total of 650 Emirati employees, underscoring FTA's commitment to empowering national talent.

100%

Of Internal Audit Office employees hold internationally recognised professional certifications in specialised fields.

148

Specialised Professional Certifications obtained.

40,067

Training hours delivered to develop and empower employees and second-line leaders.

13,738

Hours of tax training delivered to 381 employees.



Innovation and Sustainability



Implementation of
57

Targeted digital
bureaucracy elimination
initiatives.



Launch of Innovative
(TAX 10)

Application to simplify
procedures and enhance
customer experience.

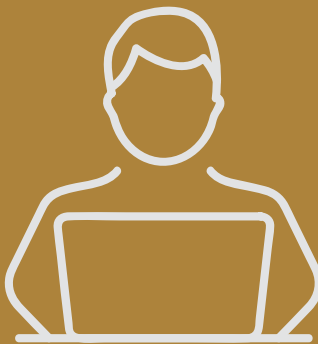


Upgrading
90%

of employee devices, with
AI-powered workstations
deployed across the
Authority.

Evaluation of more than
200

Taxpayer proposals to enhance
and streamline registration
processes.



Schools Hackathon
2025 launched to inspire
the next generation of
innovators and promote
early tax awareness.



CHAPTER ONE

YEAR IN REVIEW (Financial Performance at a Glance)

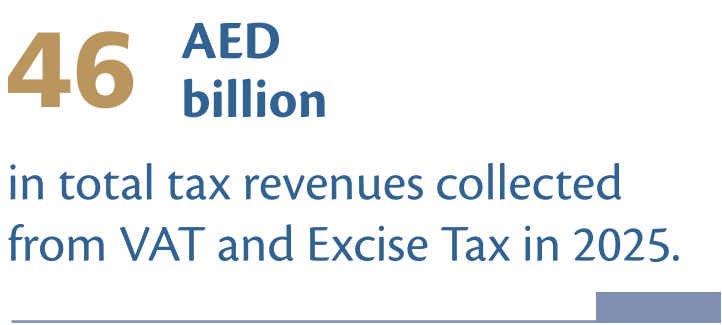
A Step Change in Performance and Operational Efficiency

The year 2025 marked a new milestone in the evolution of the UAE tax system, reflecting a higher level of institutional maturity driven by exceptional growth in the base of registered taxpayers and tax agents, alongside the establishment of new benchmarks for transaction processing speed and digital workflow efficiency. This expansion was matched by a significant leap in operational efficiency and institutional oversight, with a continued focus on implementing additional Zero Government Bureaucracy initiatives and enhancing internal audit tools. Together, these efforts delivered substantial improvements in service quality, data accuracy, and customer experience.

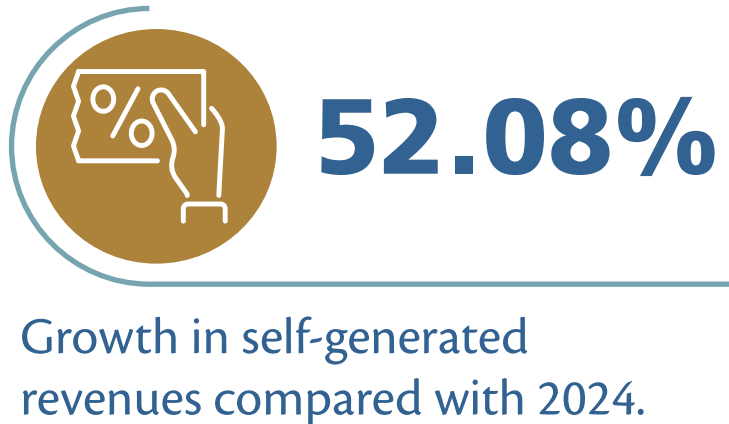
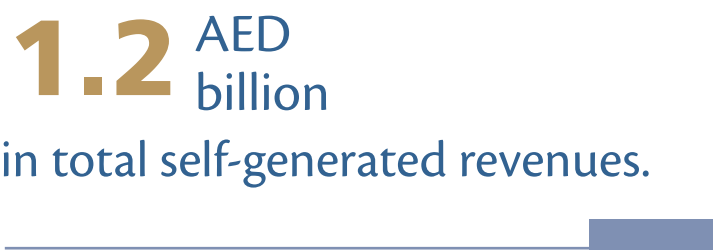
Institutional Efficiency Supporting Financial Sustainability

The financial statements as of the end of 2025 reflect the resilience of the UAE’s fiscal approach and its ability to generate stable government revenues that support fiscal balance while keeping pace with the country’s development and economic priorities.

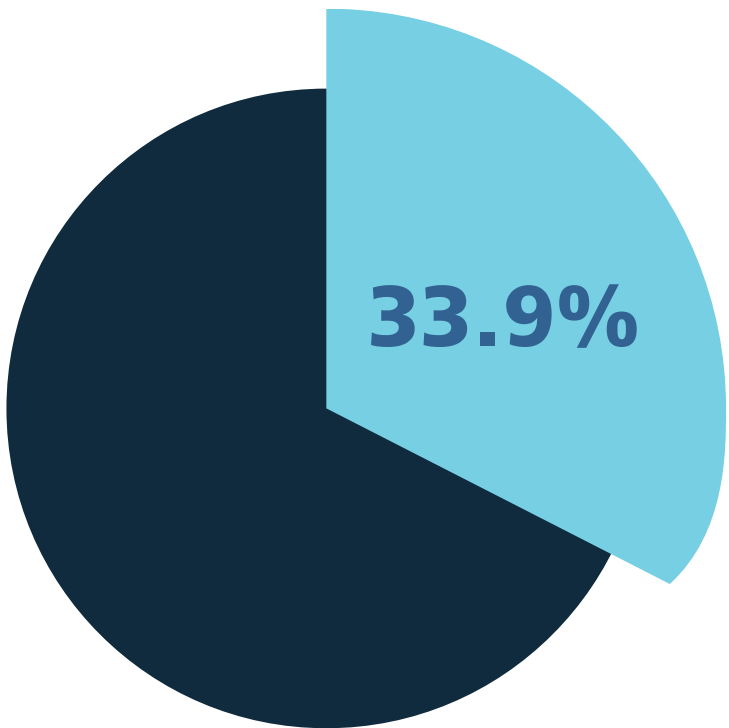
Tax Revenues



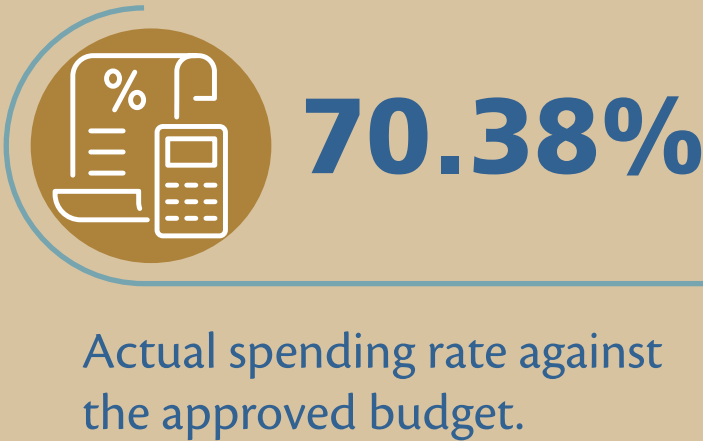
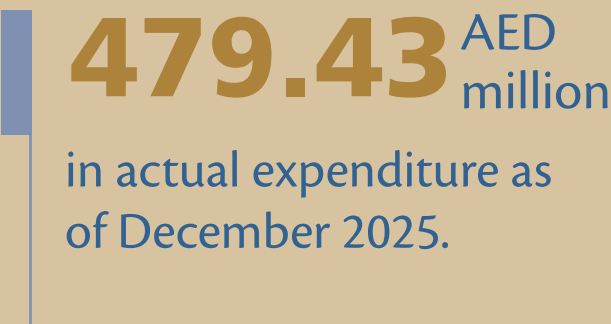
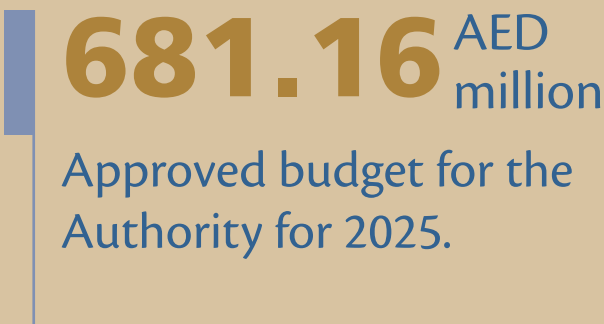
Operational Efficiency and the FTA’s Self-Generated Revenues



Increase in tax revenues generated through audit activities



Approved Budget and Fiscal Discipline of the Authority in 2025



Tax Matters

Tax Matters witnessed a significant improvement in operational efficiency during 2025. Efforts focused on expanding the tax compliance base through the processing of tens of thousands of registration applications, with a strong emphasis on process automation and Zero Government Bureaucracy initiatives to ensure rapid response times. These results demonstrate the Authority’s success in strengthening collaboration with tax agents and enhancing oversight of excise goods, while adopting an interactive approach based on reviewing taxpayers’ suggestions and resolving complaints within exceptional timeframes.

319

Tax agents accredited as Corporate Tax specialists

9,215

Products registered as excise goods in the Authority’s database, with an increase of 91.6%.

98,071

VAT registration applications processed.

255

Applications processed to link a tax agent to a tax agency.

637

Tax group registration applications completed.

618

Tax agency registration applications completed.

210

Tax agent registration applications completed, representing an increase of 81.03% compared to 2024.

206

Excise Tax registration applications completed.

478

Requests processed for amendments to the Excise Goods Register.

28

New Designated Zones registered.

170

Applications approved for renewal of Designated Zone registrations for Excise Tax purposes, compared to 149 applications in the previous year, representing an increase of 14%.

57

Zero Bureaucracy registration processes completed.

9,025

Taxpayer complaints and enquiries handled through the Registration Department, achieving a 98% closure rate.

Robotic Process Automation (RPA) technologies deployed to review Corporate Tax registration applications.



Internal Audit Indicators

The performance indicators of the Internal Audit Office for 2025 reflect a strong commitment to governance and transparency standards. The Authority achieved full compliance across most strategic and oversight targets, demonstrating the effectiveness of its risk management framework, professional capability development efforts, and the quality of its financial and administrative oversight in line with international best practices.



86%

Compliance with the implementation of the Internal Audit Plan approved by Senior Management.

100%

Compliance by organizational units in closing internal audit action plans within the prescribed timeframe.

Compliance with the submission of periodic reports to Senior Management and the Audit and Risk Committee.

Compliance with delivering internal audit-related advisory services within the prescribed timeframe.

Implementation rate of Audit and Risk Committee resolutions relating to internal audit.

Completion of the awareness plan on internal audit and corporate fraud concepts within the prescribed timeframe.

Stakeholder satisfaction with internal audit assignments.

Compliance with annual Internal Audit quality assessment requirements.

100%



Compliance with updating corporate fraud risks.



Compliance with reviewing fraud reports and issuing related reports within the prescribed timeframe.



Fulfillment of UAE Accountability Authority requirements within the prescribed timeframe.

Effective Field Oversight

46%

Increase in tax audit and review cases compared to 2024.

66%

Increase in total value of taxes assessed.

67%

Increase in total value of taxes and administrative penalties assessed compared to 2024.

16

Key sectors covered, encompassing all taxpayer segments (small, medium and large taxpayers).

Financial Affairs

The Financial Affairs Department plays a pivotal role in supporting the efficient management of the Authority’s financial resources through the application of best practices in financial planning and revenue management, while strengthening oversight and governance mechanisms. These efforts ensure the optimal utilization of resources, enhance financial sustainability, and support the achievement of the FTA’s strategic objectives.

Tax Refund Transactions



7,035

VAT refund applications processed for UAE nationals building new residences.



289

Registration applications submitted by retail outlets under the Electronic Tourist VAT Refund Scheme.



1,692,940

Tourist VAT Refund Claims

FTA in Numbers for the year



Issuance of

543

Administrative and tax decisions by the FTA’s Board of Directors and Director General.



Issuance of

59

Decisions concerning formation, reconstitution and dissolution of committees and teams.



Delivery of

31

Internal and external FTA events.



471

Internal meetings held to empower top talent and deliver efficient institutional services and digital infrastructure.



Holding

+800

External meetings conducted with various entities to strengthen cooperation.



Deregistration

During 2025, a substantial number of requests related to tax returns, deregistration applications and legal procedures associated with tax objections were processed in accordance with approved procedures, reflecting the efficiency of the FTA’s digital systems and the accuracy of its review and verification processes. Key achievements included:

Review of

22,096

VAT deregistration applications.

Review of

1,943

Tax groups deregistration applications.

Process of

11,222

Mandatory deregistration.

Verification of

14,113

Tax obligation cases related to licence cancellations.

Review of

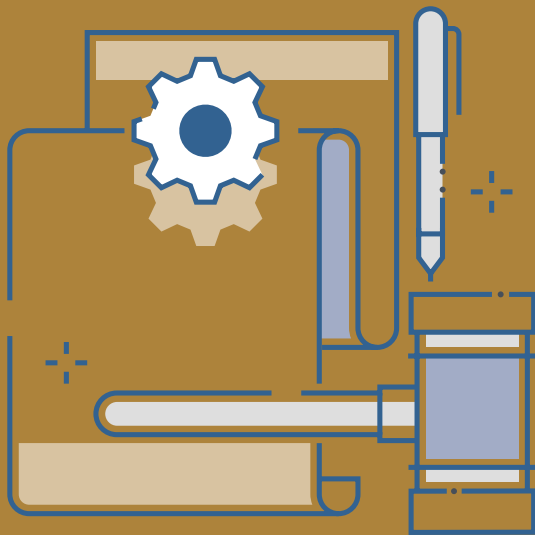
105

Excise tax deregistration applications.



Administrative Penalty Exemptions and Instalment Plans

The year 2025 witnessed substantial growth in requests related to administrative penalty exemptions and instalment plans. Exemption requests recorded a remarkable increase of 165%, reflecting FTA’s efficiency and effectiveness in managing the significant growth in application volumes while maintaining the highest standards of service. This was supported by the full digital transformation of the Corporate Tax exemption application system and the enhancement of reporting systems to ensure the highest levels of accuracy and transparency.



Receipt of

78

Instalment applications during 2025, with 63% increase.



Completion of

14,272

Exemption applications during 2025.



Delivery of

8

Awareness workshops on administrative penalty instalment, exemption and refund during 2025.

Full automation of the system for receiving Corporate Tax exemption applications.

Coordination with the Project Management Office to automate the reporting system for exemption and instalment requests.

Participation in the preparation and review of the Business Requirements Document (BRD) for the reporting system.

CHAPTER TWO

LEGISLATIVE AND REGULATORY FRAMEWORK

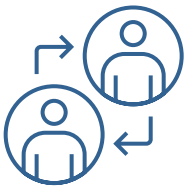
Continuous Legislative Development

The year 2025 marked a significant milestone in the continued development of the UAE's tax legislative and procedural framework through the introduction of a range of new systems and strategic initiatives. These included updates to the Corporate Tax legislation, which contributed to enhancing the attractiveness and competitiveness of the business environment and achieving the highest levels of transparency. The Federal Tax Authority, in collaboration with the Ministry of Finance, also commenced preparations to establish the legal and procedural framework for the implementation of the eInvoicing System, which is expected to make an effective contribution to the continued advancement of the tax ecosystem and the enhancement of tax compliance through the automation of tax return processes and the simplification of procedures carried out through the Emaratax digital tax services platform. The legal framework for the implementation of the Domestic Minimum Top-Up Tax (Pillar Two) was also established in line with international standards. In parallel, efforts focused on enhancing institutional compliance, improving debt collection mechanisms, combating financial crimes, and implementing strategic initiatives to strengthen internal controls and assess tax administration performance, thereby ensuring the sustainability and fairness of the tax system.

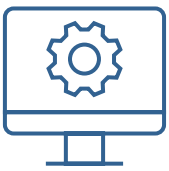


E-Invoicing

E-Invoicing preparations were undertaken to support voluntary tax compliance through secure and efficient digital mechanisms. The system offers a wide range of benefits to taxpayers and stakeholders across the tax ecosystem by simplifying, standardising, and automating invoicing processes through a fully digital framework aligned with international best practices. Designed to facilitate the issuance, transmission, exchange, and sharing data of electronic credit notes and invoices, the system enables the seamless generation, delivery, and receipt of invoices in a digital format. This real-time exchange of information supports more streamlined tax reporting and enhances the efficiency of interactions with the Federal Tax Authority.



A pilot programme was launched jointly by the Ministry of Finance and the Federal Tax Authority to test and validate the implementation of the eInvoicing system.



FTA intensified its collaboration with the Ministry of Finance to ensure the smooth implementation of the system through a phased deployment strategy involving key stakeholders, maximising the benefits of digital transformation.



Domestic Minimum Top-Up Tax (Pillar Two)

As part of the UAE’s commitment to implementing the OECD Two-Pillar Solution, FTA continued preparations for the introduction of the Domestic Minimum Top-Up Tax (Pillar Two), aligning the national tax framework with evolving international standards. The initiative aims to establish a fair, transparent, and internationally consistent global tax framework.

- Support provided to the Ministry of Finance in issuing legislation and providing consultations to the Tax Policy Team regarding the Top-up Tax under the Base Erosion and Profit Shifting (BEPS Pillar Two) project.

Tax Policy and Procedural Efficiency

FTA continues to implement efficient tax policies and procedures through the issuance of hundreds of public clarifications, decisions, and guidance documents that regulate and strengthen engagement with taxpayers.



Receipt and assessment of
1,000
Reports received via the Raqeeb Platform.



Preparing and updating
14
Manuals.

Legal Procedures and Compliance

- Procedures governing the management and follow-up of legal actions and Memoranda of Understanding launched and activated.
- Procedures governing the management of objection and appeal cases launched and activated.
- Twenty-five (25) enhancements implemented across tax services during 2025 to introduce new features and ensure alignment with Corporate Tax legislative updates.

Supporting Voluntary Compliance

FTA adopts a range of operational and legislative initiatives aimed at advancing tax administration and strengthening voluntary compliance through strategic decisions and integrated technical enhancements.

- Excise Tax Framework:

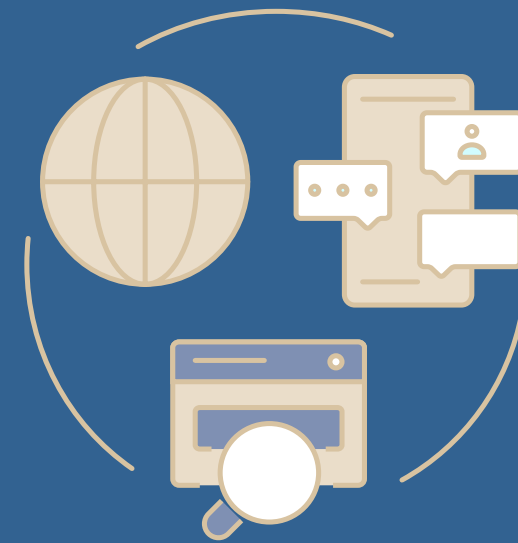
Implementation of the Volumetric Tiered Model for the taxation of sweetened beverages, supported by updates to related guidance materials and digital systems, in addition to collaboration with the Ministry of Finance in reviewing the relevant legislation, publishing associated public clarifications, and conducting both internal and external workshops on the new requirements.
- Support for Corporate Tax Registrants:

 - Implementation of the UAE Cabinet initiative exempting eligible Corporate Tax taxpayers and certain exempt persons required to register with the FTA from administrative penalties arising from late registration, subject to the applicable requirements. The initiative benefited 54,200 thousand taxpayers by the end of 2025.
 - Launch of the Unilateral Advance Pricing Agreement (APA) Request Service to enhance transparency with customers.
- Domestic Minimum Top-Up Tax (Pillar Two):

Development of operational policies to support the implementation of the Domestic Minimum Top-Up Tax framework and monitor related international requirements, complemented by an introductory workshop on the framework.
- Development of specialised tax content for training programmes available through the Jahiz platform to strengthen tax knowledge and professional capabilities.

Strengthening the Legal Framework

- Institutional Compliance Project launched to strengthen the FTA’s adherence to approved standards.
- Training programmes and workshops delivered on a wide range of topics, including the Cabinet Decisions on the implementation of Federal Decree-Law No. (15) of 2024, debt collection procedures pursuant to the same law, the legal framework for Designated Zones for Excise Tax purposes, defence strategies in tax disputes, anti-money laundering and counter-terrorist financing, and the prevention of corporate fraud within the workplace.



Development-Enabling Projects

FTA implemented a number of strategic initiatives designed to strengthen tax and financial administration capabilities. Key projects included:



Launching the Robotic Process Automation (RPA) platform, one of the Authority’s key digital transformation enablers, allowing repetitive, rules-based operational tasks to be automated with a high degree of efficiency and accuracy.



The Internal Control over Financial Reporting (ICFR) project.



The Internal Self-Assessment Project in accordance with the Tax Administration Diagnostic Assessment Tool (TADAT) framework.



Updating the Cash Surplus Management Policy.

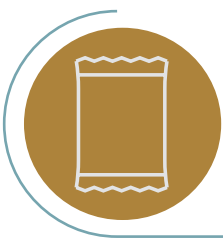
CHAPTER THREE

TAX COMPLIANCE

Field Oversight Enabled by Digital Technologies

The Authority adopts a modern oversight framework that combines continuous field inspection visits with advanced technologies and artificial intelligence (AI) to detect cases of non-compliance and combat tax evasion. The smart taxpayer behaviour analytics platform, together with campaigns conducted in cooperation with relevant entities, has contributed to enhancing tax fairness and strengthening market oversight. These supervisory efforts were complemented by initiatives aimed at increasing voluntary compliance through intensified awareness workshops, ensuring the accuracy of records and the timely processing of reconsideration requests and complaints.

FTA intensified its field presence through extensive inspection campaigns across all Emirates of the UAE, targeting the prevention of tax evasion in excise goods and the rectification of the status of unregistered businesses.



29,522,814

Packs of tobacco products seized in the local market.



175,501

Field inspection visits conducted.



100%

Completion rate for complaints received by the Tax Enforcement Department.



34,342

VAT violations detected.



7,609,849

Packs of excise beverages seized in the local market.



181

Joint campaigns conducted by the Tax Inspection Division in collaboration with strategic partners.



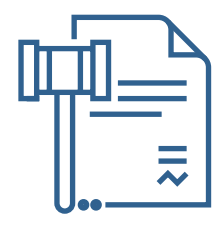
1,574

Meetings held with taxpayers to discuss compliance requirements.



**Conducting
13,849**

Visits to taxpayers to facilitate tax collection and tax return submissions.



**Issuance of
165**

Enforcement orders against non-compliant taxpayers for failure to settle outstanding tax liabilities.



**Requiring
more than
15,000**

Registered taxpayers to settle outstanding tax liabilities.



**Sending
5,700,000**

Emails to taxpayers reminding them of tax payments, tax return submissions, and tax compliance requirements.



**Sending
60,000,000**

SMS messages to taxpayers reminding them of tax payments, tax return submissions, and tax compliance requirements.

Predictive technologies and artificial intelligence constitute the cornerstone of the modern oversight framework, contributing to enhanced tax fairness and risk mitigation through the launch of several key initiatives, including:

Launch of a smart platform analysing the behaviour of 400,000 taxpayers to identify cases of non-compliance.

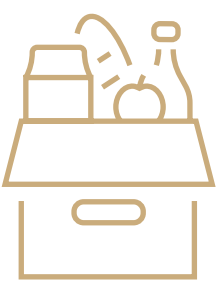
Development of predictive models to identify fraudulent behaviour based on historical and current patterns.

Deployment of advanced analytics dashboards to direct audit efforts towards high-risk cases and improve the accuracy of outcomes.

Performance Management, Risk Management and Business Continuity units achieved a %92 completion rate.

Launch of the Dataiku Artificial Intelligence Platform for tax compliance analysis, aimed at enhancing the accuracy and efficiency of tax data analysis and detecting non-compliance cases.

Tax Evasion Prevention and Tax Compliance Achievements in 2025



Process of

689

Applications for declarations relating to lost and damaged goods (Excise Tax).



Completion of

85

Tax assessment review requests through the Tax Compliance Section.

Audit and Enforcement Projects and Programmes

- ▶ The Tax Audit Department implemented 14 distinguished projects, each launched on the basis of detailed market studies targeting sectors with identified compliance risks.
- ▶ The projects focused on vital sectors, including digital content creators, e-commerce platforms, the construction sector, and the automotive sector, among others.
- ▶ New projects were introduced to meet legislative requirements and strengthen measures aimed at combating tax evasion and fraud.
- ▶ The Department implemented compliance assurance requirements relating to Economic Substance Regulations (ESR), the Common Reporting Standard (CRS), and the Foreign Account Tax Compliance Act (FATCA).

Enhancing Voluntary Compliance for Tax Registration and Record Accuracy



Tax Record Updates:
More than 800,000 taxpayers notified.



Legal Form Updates:
14,452 taxpayers notified of the requirement to update their legal form.



Tax Group Data Cleansing:
13,000 tax groups reviewed.



Excise Tax Products:
4,526 products reviewed and prices for 2,083 excise goods updated in collaboration with taxpayers and major businesses.

Workshops Organised to Enhance Voluntary Compliance and Clarify Tax Procedures

The workshops conducted during 2025 reflect the FTA’s commitment to strengthening voluntary compliance and building direct communication channels with taxpayers and partners to ensure a clear understanding of tax procedures.



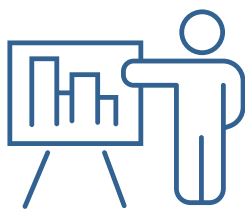
80

In-person and virtual workshops to raise awareness of Corporate Tax



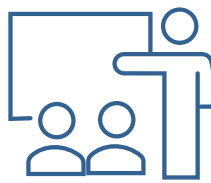
65

In-person and virtual workshops to raise awareness of Value Added Tax (VAT)



10

In-person and virtual workshops to raise awareness of Excise Tax



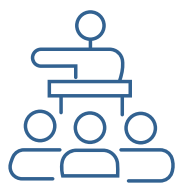
28

In-person and virtual workshops on Customer Councils and the Zero Government Bureaucracy programme



5

In-person and virtual workshops for Tax Agents



35

Additional workshops and awareness campaigns to promote tax compliance

Taxpayer Services

FTA's Taxpayer Services Department continues to play a pivotal role in supporting tax compliance and strengthening effective communication with various taxpayer segments by providing specialised services for large taxpayers, small and medium-sized enterprises, and government entities, in addition to implementing tax awareness and education programmes. These efforts contribute to enhancing the efficiency of the tax system, facilitating compliance with tax legislation, and strengthening trust and partnership with the business community.

Large Taxpayer Services

Receipt of
2,742
Enquiries received from major enterprises

and 2,458
Enquiries received from large enterprises during 2025.

Conducting
3,898
Calls with major enterprises

and 4,432
Calls with large enterprises to follow up on Corporate Tax registration and encourage the timely submission of tax returns.

Holding
879
Meetings with major enterprises

and 1,126
Meetings with large enterprises to strengthen direct engagement and develop relationships with the Authority through dedicated points of contact.

Simplified presentations prepared to explain communication channels with the Authority and procedures for submitting enquiries through electronic systems.

Virtual workshops organised to encourage major taxpayers to submit Corporate Tax returns and comply with requirements to avoid administrative penalties.

Excise Tax Services

**Receipt of**
1,189
Enquiries during 2025.

**Conducting**
1,099
Calls to introduce communication channels and encourage registration and tax compliance.

**Holding**
228
Meetings with Excise Tax registrants to strengthen engagement and monitor compliance.

**11**
Awareness workshops for Excise Tax registrants on Corporate Tax.



Small and Medium-Sized Enterprises (SMEs) Division Achievements



60,255 Requests received from SMEs during 2025.



SMEs requests increased by 136.6% compared to 2024.



32 Events held to support SMEs.

“Muwafaq” Package

Launched in 2023, the Muwafaq Package was designed to facilitate business operations and tax compliance for the small and medium-sized enterprises (SMEs) sector by offering a range of tailored services, incentives, and benefits. In 2025, the initiative achieved several notable milestones, including:



116

Appointments booked through the platform.



73,213

Total registrants in the “Muwafaq” Package.



128

Tax agents enrolled in the package.

213

Meetings conducted with the package registrants.

Reconsideration Requests

The 2025 indicators for Reconsideration Requests reflect FTA’s commitment to enhancing oversight and tax fairness through digital transformation and the automation of procedures aimed at increasing the efficiency of request and complaint processing. These achievements demonstrate the success of integrated coordination and technical connectivity through the EmaraTax system in improving customer experience and ensuring prompt responses to tax objections and enquiries.

- Receipt of 29,423 reconsideration requests during 2025.
- Receipt of 4,127 complaints and 4,039 complaints processed, with a completion rate of 98%.
- Automation of the readiness of the EmaraTax system for the Tax Assessment Review service for companies.
- Automation of the reporting system relating to reconsideration requests.
- A series of coordination meetings was held to enhance procedures, improve processing efficiency, and elevate customer experience.

Government Sector Services

- ▶ Receipt of 1,225 enquiries received from government entities.
- ▶ Holding of 76 meetings with government entities across the UAE.
- ▶ Holding of 12 meetings held with customs clearance companies.
- ▶ Conducting of 325 follow-up calls with government entities and customs clearance companies to enhance tax compliance.
- ▶ Participation in the project for preparing amendments to the Unified Customs Agreement.
- ▶ Corporate Tax added to the Welcome Guide for government entities.
- ▶ Preparation and implementation of an initiative to expand cooperation-enhancement meetings with government entities.
- ▶ Holding a workshop on the Fundamentals of Taxation for the Sharjah Finance Department and its affiliated government entities.
- ▶ Holding a workshop for Customs Clearance Companies.



CHAPTER FOUR

DIGITAL TRANSFORMATION AND INNOVATION

Transparency Across the Digital Journey

The Federal Tax Authority (FTA) is advancing a new phase of institutional agility through the adoption of Robotic Process Automation (RPA) and predictive technologies, driving a qualitative transformation in the speed of tax services and supporting the objective of digital zero bureaucracy. These efforts have resulted in significant reductions in transaction processing times and the development of proactive platforms capable of identifying potential non-compliance cases with greater intelligence and efficiency. These technological solutions have been complemented by enhancements to the Authority's digital infrastructure and the launch of advanced interactive channels, including the virtual assistant "TARA" and the "Live Tax Connect" platform, contributing to higher customer happiness indicators and reinforcing the UAE Government's vision of a digital government that anticipates and responds to the needs of the business community in real time.

Digital Innovations to Enhance Compliance and Achieve Zero Bureaucracy

- ▶ **AI-powered excise goods registration process:** An innovative platform was developed to enable automated data integration, reducing service completion time from 45 minutes to only 10 minutes.
- ▶ **Proactive tax evasion monitoring:** Launch of a smart platform leveraging Machine Learning technologies to analyze non-compliance patterns and predict potential future cases.
- ▶ **100% completion of the strategic “Raqeeb” Whistleblower Programme** for Tax Violations and Evasion, empowering community members to contribute to regulatory oversight and support tax fairness and compliance through the reporting of high-value information that enables the detection of tax evasion.
- ▶ **100% completion rate of transformational projects:** All projects included in the third transformation cycle of 2025 were successfully completed.
- ▶ **Organization of the “Tax Hackathon”,** a specialized event focused on exploring future solutions and leveraging artificial intelligence in the tax sector.

A Leading Ecosystem Shaping the Future of Taxation

The FTA adopts a comprehensive innovation-driven approach centered on empowering talent and developing proactive digital solutions to enhance institutional agility and support the zero-bureaucracy agenda. During 2025, the Authority launched an updated Institutional Innovation Strategy to further embed innovation as a core driver of service enhancement and operational excellence.



International Innovation Accreditations:

Renewal of the Global Innovation Institute (GII) certification and attainment of accreditations in institutional agility, resilience, and proactiveness.

Digital zero bureaucracy:

Launch of the TAX 10 platform and organization of specialized workshops aimed at simplifying government procedures and enhancing customer experience.

Future foresight through artificial intelligence:

Delivery of global workshops in collaboration with Microsoft.

Protection of institutional intellectual property:

Receipt of intellectual property certification for the “Muwafaq” package and approval of innovative projects by the Global Innovation Institute.

Promoting a culture of innovation:

Launch of the updated Innovation Charter and activation of systems-thinking tools developed by the Mohammed Bin Rashid Centre for Government Innovation to support decision-making.

Building the next generation of innovators:

Organization of Schools Hackathon 2025 to encourage early-stage innovation and recognize innovative ideas and employees who demonstrated outstanding adoption of digital solutions.

Technology Projects

96%

Robotic Process Automation (RPA):

96% completion of the Robotic Process Automation project to reduce manual intervention and accelerate task execution.

95%

User Experience Enhancement (UXE):

95% completion of the redesign project for core service journeys.

70%

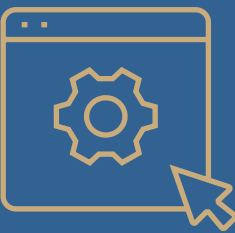
TARA Chatbot:

70% completion rate of system upgrades, with Phase One launched during the fourth quarter of 2025.

100%

Data Management:

100% completion of consultancy services and the development of the Authority’s Artificial Intelligence Roadmap.



E-Invoicing System:

Completion of technical testing for the C5 Access Platform and implementation of amendments to the Executive Regulation of the Value Added Tax Law.



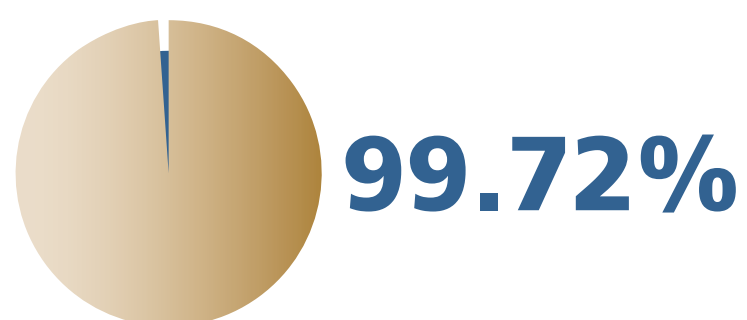
Zero Bureaucracy Achievements

- 57 bureaucracy elimination measures implemented.
- More than 200 taxpayer proposals assessed to improve the registration journey.
- Significant reductions achieved in data-entry requirements across core processes, including:
 - **Business Activity Classification:** Reduced from 4 fields to one.
 - **Identity Verification Integration:** Reduced from 9 fields to 1.
 - **Authorised Signatory Information:** Reduced from 45 fields to 16.

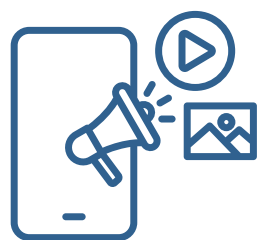


Digital Services

The Authority's 2025 digital performance indicators demonstrate substantial progress in service quality and operational stability. Service quality reached 90%, while full operational stability of systems was maintained. These achievements reinforce the FTA's leadership in adopting innovative smart solutions and expanding customs integration initiatives, resulting in a seamless and efficient user experience.



IT service availability rate.



Digital knowledge expanded through:

- ▶ Publication of 60 Knowledge Base Articles (KBAs)
- ▶ 15 internal guidance manuals,
- ▶ Bi-weekly awareness bulletins.



5

Human Resources services were automated through the Khadamati platform using in-house capabilities.

Upgrading contact centre platform and enhancing disaster recovery readiness.



Implementation of

73 Recommendations to enhance EmaraTax performance, resulting in:

- ▶ Response times reduced from 1,200ms to 600ms.
- ▶ Memory utilisation reduced from 70% to 20%.
- ▶ 100% operational availability achieved.



Strategic integration projects delivered, including:

- ▶ CCIS customs integration.
- ▶ TSP interfaces for electronic tax returns, enabling the automated submission of 1,837 returns.
- ▶ Integration with UAE Pass and economic licensing authorities.
- ▶ Expansion of data centre infrastructure and higher-speed connectivity.



Key Achievements of Operations Team (Registration Department)

- ▶ Showcasing at GITEX updated processes powered by the latest artificial intelligence technologies, including:
 - ▶ AI-powered Excise Goods Registration Platform aligned with the Tiered Volumetric Model.
 - ▶ Implementation of numerous system enhancements aimed at improving and streamlining the customer journey while enhancing the efficiency and quality of application reviews. Key enhancements included:

- ▶ Enabling the amendment of legal entity forms.
- ▶ Simplifying the selection of business activities and standardizing them in line with the UAE's unified international classification standards.
- ▶ Implementing automatic exemption for eligible taxpayers from Corporate Tax late registration penalties, benefiting more than 54,200 taxpayers.
- ▶ Enhancing integration and connectivity with the Federal Authority for Identity, Citizenship, Customs and Port Security to streamline customer journeys and improve the efficiency and quality of application reviews.

- ▶ Strengthening integration and connectivity with government entities, including licensing authorities, to facilitate customer journeys and enhance tax registration compliance, contributing to compliance rates that rank among the highest globally.

- ▶ Implementation of the Legal Representative Registration Project for companies, which included:

- ▶ Enhancing the EmaraTax system to incorporate legal representative services.
- ▶ Coordinating with the Ministry of Justice to obtain lists of liquidators and bankruptcy trustees.
- ▶ Communicating with all companies undergoing liquidation or bankruptcy procedures to raise awareness of the new requirements.

- ▶ Advancing the Pillar Two Project through:

- ▶ Identifying and compiling data requirements for registration purposes.
- ▶ Enhancing system capabilities to receive Pillar Two registrations.

- ▶ Implementing the Excise Goods Registration Enhancement Project and the Tiered Volumetric Model Initiative, including:

- ▶ Developing an advanced technology and AI-enabled system for the registration and amendment of all excise goods in line with Tiered Volumetric Model requirements.
- ▶ Integrating with strategic partners to leverage conformity certificates issued by them.
- ▶ Strengthening connectivity with relevant entities to receive updated information, including the Ministry of Industry and Advanced Technology.
- ▶ Coordinating with accredited laboratories and ensuring their operational readiness.
- ▶ Raising awareness among excise goods registrants through multiple communication channels to support completion of the required procedures.

- ▶ Processing of 8,286 penalty cancellation actions relating to decisions issued by the Reconsideration Committee, Exemption and Reduction Committee, as well as court and Ministry of Justice memoranda.



Simplifying Procedures and Modern Digital Solutions

Enhancement of the EmaraTax Platform:

Introduction of legal representative appointment services and the development of functionality for the registration of all excise goods.

Technological Innovation:

Leveraging information technology tools to automatically read product components and reflect them within registration applications.

Taxpayer Awareness:

Developing an infographic guide for taxpayers to explain registration procedures in coordination with licensing authorities.

Development of the Artificial Intelligence Strategy

FTA continued to develop the Artificial Intelligence Strategy to strengthen the adoption of smart technologies and advanced analytics in support of decision-making and operational efficiency. The strategy aligns with the UAE's vision of embracing advanced technologies and accelerating digital transformation across government services. This initiative included conducting a comprehensive assessment of the Authority's AI maturity level and developing an integrated roadmap comprising programmes and initiatives aimed at enhancing operational efficiency and improving customer experience.

The strategy focuses on strengthening institutional AI capabilities, identifying priority use cases that support service and process improvement, and establishing a roadmap for implementing associated initiatives over the coming years to generate added value and enhance organizational performance. By the end of 2025, 22% of the strategy's initiatives had been completed, including:

Business Services Development Initiatives:

- Automation of approval processes for registration applications, deregistration applications, and VAT refund claims submitted by UAE nationals for the construction of new residences.
- Phase One of the TARA Chatbot, Including the deployment of sentiment analysis technology to gain deeper insights into user feedback, as well as the introduction of a dedicated WhatsApp service channel.
- Identification of tax evasion patterns through the development of an AI-powered platform capable of detecting VAT non-compliance cases.



- Utilization of artificial intelligence to reconcile General Ledger (GL) reports with banking and tax reports.
- Automation of bank transfer letters relating to payments associated with State disputes.
- Deployment of artificial intelligence capabilities within the Reconsideration Requests Service and the Private Clarifications Service.

Infrastructure Management Development Initiatives:

- Leveraging artificial intelligence to enhance infrastructure management through the implementation of automated forecasting of future capacity requirements and the allocation of future technical resources.

Automation of Internal Services

As part of the Authority’s accelerated digital transformation agenda and its strong focus on enhancing employee productivity and achieving end-to-end digitization of internal processes, the FTA successfully implemented and delivered the following internal process automation initiatives:

- ▶ **Budget Management System**
A centralized digital platform designed to organize and streamline the budget lifecycle.
- ▶ **Procurement Management System**
A digital platform for managing procurement activities, including purchase requests, approval workflows, and procurement tracking.
- ▶ **CV Referral Portal**
A digital platform enabling FTA employees to recommend highly qualified candidates for employment or internship opportunities within the Authority.

Development of Digital Tax Services

- ▶ Reconsideration System services enhanced to support Corporate Tax, improve request management, and facilitate the implementation of relevant decisions.
- ▶ Exemption System services upgraded to support Corporate Tax and facilitate the implementation of Exemption Committee decisions.
- ▶ A web-based tool developed to assist users in determining their eligibility for exemption from Corporate Tax late registration penalties.

5 Innovative Digital Projects Driving Business Alignment

The Authority’s innovative digital projects launched during 2025 reflect its vision for the future. Through the deployment of smart solutions, data analysis cycles that previously required days can now be completed within minutes. The international innovation certifications awarded to these projects underscore the FTA’s success in leveraging machine learning algorithms to strengthen voluntary compliance and safeguard financial resources with greater accuracy and efficiency.



TARA Chatbot

In line with the UAE’s national vision to build a smart, customer-centric digital government, and in support of the UAE Artificial Intelligence Strategy 2031 and the Government Digital Transformation Agenda, the Authority launched “TARA”, an advanced AI-powered virtual assistant designed to elevate customer experience and enhance the management of interactions across automated digital channels. The project has enabled the Authority to accommodate growing demand for digital services without a corresponding increase in operational resources, while maintaining high levels of service quality and responsiveness. Key achievements of the TARA Chatbot include:

- ▶ Increasing automated digital conversations to 209,767 interactions in 2025, representing growth of more than 35% compared to 2024.
- ▶ Enhancing the efficiency of digital services and reducing transaction costs, with total interactions decreasing from 672,731 in 2024 to 402,967 in 2025.

2

Live Tax Connect

An advanced digital platform designed to digitize taxpayer support sessions with Authority representatives. The platform supports digital transformation objectives, enhances the quality of taxpayer services, and enables the Authority to better address taxpayers' needs and inquiries regarding tax services, thereby facilitating compliance while reducing the time and effort required from taxpayers. The platform also includes a dedicated support channel for senior citizens and People of Determination. Key achievements during 2025 include:

- ▶ Delivery of 8,696 support services with a customer satisfaction rate of 98%.
- ▶ Reduction of the average support service delivery time from 133 minutes through the contact centre to 32 minutes.
- ▶ Reduction of support centre visits by 24%, resulting in savings in indirect visit-related costs.

3

Tax Evasion Pattern Detection

The Authority developed the "Tax Evasion Pattern Detection" service, an AI-powered platform designed to identify VAT non-compliance cases and enhance tax compliance among taxpayers. Key features incorporated into the platform include:

- ▶ Development of an intelligent analytical framework utilizing machine learning algorithms to analyse taxpayer data and understand different behavioural patterns.
- ▶ Identification of indicators associated with non-compliant or fraudulent behaviour and prediction of potential risks to support proactive tax compliance management.
- ▶ Enhancement of audit and inspection effectiveness and accuracy by directing resources towards higher-risk cases while reducing reliance on manual procedures.

4

Supporting decision-making through predictive models, dashboards and analytical reports that provide accurate, real-time insights.

Ensuring integration with the FTA's systems while adhering to the highest standards of information security and data governance, thereby enhancing voluntary compliance and operational efficiency. Key achievements delivered through the platform include:

- ▶ Reducing taxpayer data analysis time by 95%, from two to three days to less than 10 minutes.
- ▶ Processing millions of records instead of a limited number of files.
- ▶ Improving risk detection through machine learning models while reducing manual effort.

5

Robotic Process Automation (RPA)

The Authority developed an intelligent solution powered by Robotic Process Automation (RPA), artificial intelligence, and machine learning technologies to automate the verification of taxpayer registration applications, including Corporate Tax registration requests and other core services. The solution supports the accurate and rapid processing of applications while reducing reliance on manual procedures. Key achievements during 2025 include:

- ▶ Reducing the review time for a single application from 25 minutes to 6 minutes, representing a 76% improvement in efficiency.
- ▶ Automating the processing of 94,269 transactions and generating efficiency gains exceeding 30,000 working hours.
- ▶ Reducing the number of employees dedicated to application processing from 25 to 9, allowing greater focus on value-added activities.
- ▶ Receiving the Innovation Certification awarded by the Global Innovation Institute (GII).

WORKSHOP ON CORPORATE TAX ON FAMILY FOUNDATION



Zahra Al Dahmani
Director – Taxpayer Service
Federal Tax Authority

Automation of Legal Affairs Procedures and Operations

- ▶ Implementation of the Reconsideration Requests Automation Project using artificial intelligence technologies.
- ▶ Launch of the electronic integration project between the EmaraTax system and the Tax Dispute Resolution Committees at the Ministry of Justice.
- ▶ Enhancement of the EmaraTax platform through the identification of requirements and system enhancements for the Authority's legal functions to, ensure greater digital efficiency.
- ▶ Organization of practical workshops on the “Cases and Objections System” and the “Contracts, Consultations and Memoranda of Understanding System” through the EmaraTax platform.



Enhancing Customer Experience

The Taxpayer Support Office plays a pivotal role in enhancing customer experience at the Federal Tax Authority by providing integrated support services through multiple communication channels and developing digital solutions that facilitate tax compliance and improve taxpayer satisfaction, in support of the Authority's digital transformation agenda. Key achievements during 2025 included:

- Enhancement of the complaints handling mechanism, including direct telephone communication with customers to confirm resolution before complaint closure.
- Reduction of the average response time through the contact centre channel to 6 minutes.
- Launch of the Live Tax Connect platform to facilitate enquiries, complaints, and suggestions.
- Enhancement of the Genesys Contact Centre System to improve productivity and quality reporting and establish a unified knowledge base across all communication channels.
- Upgrading the TARA Virtual Assistant and Live Chat services to further improve customer experience.
- Provision of enquiry services relating to EmaraTax application status and service requests submitted through service channels and the TARA Virtual Assistant.
- Introduction of a 24/7 live chat service.
- Total Transactions Received: 625,335 transactions were received across all communication channels, representing an increase of 12% compared to 2024. This growth was primarily driven by the commencement of Corporate Tax return filing and the implementation of the tax penalty exemption initiative for failure to submit tax returns. Transactions were classified as follows:
 - Enquiries accounted for 90% of total transactions, reaching 562,004 enquiries (+21% compared to 2024).
 - Complaints accounted for 10% of total transactions, reaching 61,283 complaints (a decrease of 23% compared to 2024).
 - Suggestions and appreciation messages represented approximately 1% of total interactions.

Digital Channels

- The TARA Virtual Assistant conducted 209,767 conversations comprising 402,967 interactions, achieving a response accuracy rate of 83.92% (+35.13% compared to 2024).
- Live Chat handled 65,548 conversations (+121% compared to 2024).
- WhatsApp communication services were launched in December 2025.
- Live Tax Connect channel recorded 8,699 visual communication sessions since its launch in April 2025.
- Support Centres in Abu Dhabi and Dubai received 21,047 visitors during 2025, representing an increase of 10% compared to the previous year.

Customer Satisfaction Indicators (C-SAT)

- Overall customer satisfaction across all communication channels reached 93%, based on 44,798 evaluations, representing an improvement of 1.5% compared to 2024.
- Customer happiness through the EmaraTax Customer Pulse Platform reached 90%, based on 99,578 evaluations (+3% compared to 2024).



Financial Development Initiatives

- ▶ Activation of the first phase of bank transfers through the launch of the Treasury Management System for the Authority's accounts in cooperation with the Ministry of Finance.
- ▶ Automation of bank transfer letters relating to judicial payment transactions.
- ▶ Automation of revenue report reviews, payment reports, and bank reconciliation processes through the use of artificial intelligence technologies.
- ▶ Enhancement of the annual budgeting process through full automation, resulting in:
 - ▶ A 40% reduction in budget preparation time.
 - ▶ A 30% improvement in financial forecasting accuracy.
 - ▶ Faster internal financial approvals.
 - ▶ Higher levels of satisfaction among internal organizational units.
 - ▶ Enhanced efficiency and faster, more accurate access to financial data.

Administrative Development

- ▶ Deployment of a Warehouse Management System for goods confiscated for violations of tax legislation.
- ▶ Implementation of a Vehicle Request and Tracking System for inspection and enforcement operations.
- ▶ Development of a Power BI Performance Dashboard for the Internal Administrative Services Support System.
- ▶ Development of Power BI Performance Dashboards for warehouse operations and vehicle request management.
- ▶ Launch of the Asset Maintenance Management System through the CAFM platform.
- ▶ Upgrading the Internal Administrative Services Support System through the consolidation of 10 separate service pages into a single integrated service bundle.



CHAPTER FIVE

STRATEGIC PARTNERSHIPS AND AGREEMENTS

Integration Horizons and Collaborative Partnerships

The Federal Tax Authority continues to strengthen an exceptional model for building a broad network of strategic partnerships and comprehensive digital integration, supporting national and international efforts to sustain and advance the tax ecosystem. Through establishing effective cooperation frameworks with stakeholders at both the local and global levels, the Authority has developed integrated operating models that extend beyond data exchange to encompass the development of national talent and the sharing of forward-looking expertise. This integrated approach, which connects the Authority with major economic actors and key national institutions, enhances the UAE's competitiveness as a leading financial centre and ensures the seamless delivery of tax services through unified, high-efficiency digital channels.



Local Strategic Partnerships

- Reinforcing the principle of coordinated national action, the Authority conducted a series of joint inspection campaigns and coordination meetings with concerned entities to align efforts aimed at combating tax-related crimes.
- 181 joint inspection campaigns conducted with strategic partners.

Knowledge Exchange and Partnerships Supporting Institutional Leadership

The Authority adopts an integrated approach to knowledge exchange and experience sharing with leading entities to ensure the implementation of international best practices and the transfer of successful experiences across the government ecosystem.

- **Proactive benchmarking initiatives:**
Conducted three benchmarking exercises with leading entities, including Dubai Customs, Dubai Chambers, and Abu Dhabi Global Market (ADGM), to enhance customs clearance policies and investor support initiatives.
- **A benchmark experience in Zero Government Bureaucracy:**
Hosted delegations from the Federal Authority for Nuclear Regulation and the Emirates Water and Electricity Company to share the Authority's leading experience in simplifying procedures.
- **Digital knowledge transfer:**
Showcased the Authority's advanced procurement system to Digital Dubai as a model of distinguished administrative practices.
- **Business group development:**
Reviewed best practices in establishing business groups in cooperation with Dubai Chambers to strengthen public-private sector partnerships.
- **Supporting the investment environment:**
Leveraged the experience of Abu Dhabi Global Market (ADGM) in providing specialised investor facilitation services to enhance the competitiveness of the tax system.

Strategic Partnerships for Digital Integration and a Sustainable Future

The Authority continues to strengthen institutional integration through the development of a broad network of strategic partnerships and comprehensive digital connectivity, contributing to unified national efforts that support Emirati talent and deliver an integrated, smart tax experience.

10 Memoranda of Understanding (MoUs)

Strategic agreements signed to enhance national cooperation and develop Emirati talent capabilities, including:

- Cooperation with the ADGM Academy to support the employment of Emirati graduates in the tax sector and develop the capabilities of tax agents.
- Digital integration between multiple systems, including those of the Dubai Department of Economy and Tourism, and Abu Dhabi Customs, to enhance data exchange and digital systems integration..
- Integration of VAT and Excise Tax services with free zones to simplify the customer journey.
- Information disclosure and exchange initiatives.

The Authority organised its Third Strategic Partners Forum at the Museum of the Future

Celebrating its journey of achievements and recognising 48 strategic partners from both the public and private sectors.



External Integration and Connectivity Initiatives

Real-time digital integration with strategic partners represents a key enabler of institutional integration and facilitates the seamless flow of tax-related data across government channels.



Tax Service Provider (TSP):

Service made available through the Government Service Bus (GSB) to enable automated integration with large entities.



Economic Integration:

Full (100%) integration activated with the Departments of Economic Development in Abu Dhabi, Ajman, and Ras Al Khaimah, as well as with the National Economic Register of the Ministry of Economy & Tourism. A MoU was also signed with the Dubai Department of Economy and Tourism in 2025.



Real Estate Integration:

Integration activated with the Dubai Land Department and the Sharjah Real Estate Registration Department, alongside the development of the Tax Calculator.

Tax Audit Partnerships

The Authority's oversight efforts are strengthened through close collaboration with strategic partners to raise awareness and reinforce compliance with the tax system.

Partnership with the UAE Media Council:

An awareness session targeting influencers and digital content creators was organised, attracting more than 150 participants from government entities, influencers, tax agents, and media agencies. The initiative resulted in a noticeable increase in VAT and Corporate Tax registrations within this sector.

Abu Dhabi Quality and Conformity Council:

Commencement of a partnership aimed at strengthening market oversight and compliance.

Ministry of Interior:

Continued collaboration with the Ministry to support core operational activities.

Development of partnerships with private sector entities to raise awareness, mitigate risks, and proactively enhance tax compliance.

FTA participated in more than 113 meetings with external entities, including federal government entities, to discuss areas of cooperation and matters of mutual interest in the field of tax audit.

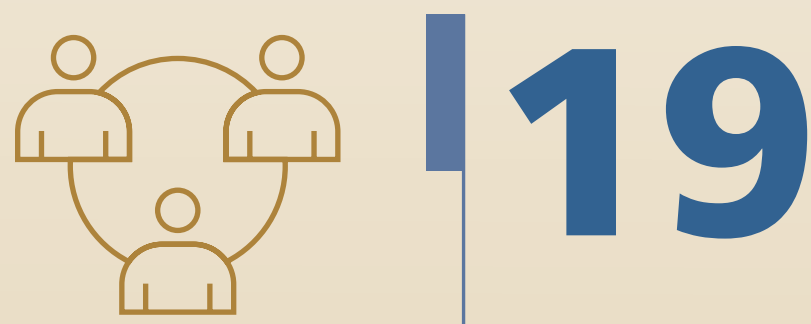
Integration Partnerships with:

- ▶ Ministry of Industry and Advanced Technology
- ▶ Federal Authority for Identity, Citizenship, Customs and Port Security (ICP)
- ▶ Local Economic Authorities

Cybersecurity Partnerships

FTA continues to strengthen digital security standards through collaboration with leading national entities, ensuring the protection of tax data and the advancement of cyber oversight mechanisms. Ongoing cooperation with the UAE Cybersecurity Council and the Telecommunications and Digital Government Regulatory Authority (TDRA) reinforces a proactive approach to threat monitoring, contributing to a highly secure, resilient, and trusted digital environment.

- ▶ Regular meetings held with the UAE Cybersecurity Council team.
- ▶ Partnership with the UAE Cybersecurity Council to enhance cyber monitoring and control systems.
- ▶ Partnership with the Telecommunications and Digital Government Regulatory Authority (TDRA) in proactive cyber threat monitoring initiatives.



19

Workshops organised on Tax Refund Services, including 6 workshops conducted in cooperation with the New Economy Academy as part of the “How to Build Your Home” programme, a workshop conducted in cooperation with Abu Dhabi Municipality, and a workshop targeting municipal and housing authority employees across all Emirates of the UAE, as well as citizen applicants, to raise awareness of the “Maskan” service.

Advancing Cooperation and Data Integration

Local Integration:

Connectivity established with the UAE’s Departments of Economic Development to facilitate the transfer of commercial licence information, and with the Federal Authority for Identity, Citizenship, Customs and Port Security to verify identity information during registration processes.

Government Coordination:

Collaboration with the Ministry of Justice to obtain lists of liquidators and bankruptcy trustees, and integration with partners to utilise conformity certificates.

Real Estate Data Integration:

Electronic integration established with the Dubai Land Department to monitor property transactions on a daily basis and incorporate them into ongoing analytical processes.

Memoranda of Understanding concluded with the Ministry of Economy & Tourism and the Ministry of Justice.

Electronic Integration

The Business Alignment Department developed a connectivity roadmap covering 30 entities, including ministries, customs authorities, economic development departments, land departments, and banks. Overall implementation progress reached 43%, with key achievements including:

- ▶ Launch of electronic integration with the Abu Dhabi Department of Economic Development.
- ▶ Launch of electronic integration with the Ajman Department of Economic Development.
- ▶ Signing of a cooperation agreement and completion of integration requirements with the Dubai Department of Economy and Tourism.
- ▶ Completion of integration requirements with the Federal Prosecution for Tax Evasion Crimes.
- ▶ Launch of the Tax Calculator to support tax compliance in real estate transactions.
- ▶ Completion of Phase Two of integration with the Dubai Land Department.
- ▶ Completion of electronic integration with the Sharjah Real Estate Registration Department.
- ▶ Launch of Phase One of integration with the Ministry of Human Resources and Emiratisation.
- ▶ Meetings held with the Telecommunications and Digital Government Regulatory Authority (TDRA) and the Prime Minister’s Office to present the Authority’s digital strategy and discuss the use of UAE Payment Gateway services as an additional payment channel.



Regional and International Partnerships

Active Participation in BRICS

The Authority strengthened its international presence through participation in a series of specialized BRICS meetings aimed at exchanging expertise and contributing to the development of common tax practices and standards.

- ▶ Participation in 16 BRICS Tax Cooperation meetings during 2025.
- ▶ Coordination and participation in Customer-Centric Approach Working Group meetings.
- ▶ Participation in Data Collection and Utilization Working Groups, Human Resources Practices Working Groups, and Women and Youth Working Groups within the BRICS Tax Network.

The FTA further reinforced its presence within the global tax landscape through strategic participation in key international forums during 2025. These included representing the United Arab Emirates at the Meetings of BRICS Heads of Tax Authorities in Brazil, reflecting its growing role in advancing international tax cooperation. Its international engagement also extended to the Belt and Road Initiative Tax Administration Cooperation Forum (BRITACOF) in Nepal, the Organisation for Economic Co-operation and Development (OECD) Forum on Tax Administration, and the OECD Amsterdam Dialogue on the Implementation of the Global Minimum Tax. These engagements supported the exchange of expertise, facilitated alignment with the latest international tax developments, and further strengthened tax policies and practices in line with international best practices.

Global Memoranda of Understanding:

Memoranda of Understanding signed with the Federal Tax Service of Russia in September 2025 and the State Taxation Administration of China in November 2025.

GCC Cooperation:

Participation in meetings of Heads and Directors of Tax Administrations of the Gulf Cooperation Council (GCC) member states, the Unified Electronic System Team, and the Unified Tax System Team.

International Workshops:

Participation in workshops organised by the Zakat, Tax and Customs Authority (ZATCA) on VAT in the digital economy and financial sector.



CHAPTER SIX

EVENTS AND COMMUNITY INITIATIVES

Pulse of the Community: Leadership in Service Excellence and Quality of Life

The FTA's role extends beyond its traditional institutional mandate to become an active contributor to the social fabric of the UAE, placing people's happiness and quality of life at the heart of its success. Through proactive and intelligent solutions, the Authority has transformed the journey of citizens claiming VAT refunds on the construction of their homes into a seamless, automated experience that begins even before a claim is submitted. At the same time, it has enhanced access to services for tourists, diplomatic missions, and international organisations through highly flexible digital platforms. This broad community engagement, spanning academic awareness initiatives, sporting activities, and celebrations of national identity, reflects the Authority's enduring commitment to building trust across all segments of society, from senior citizens to younger generations, while fostering a positive workplace culture and a well-informed tax community that actively contributes to the nation's continued development and prosperity.

Enhancing Quality of Life and National Participation

FTA remains committed to active participation in national events and community and sporting activities that strengthen institutional cohesion and enhance employee well-being.

Community Initiatives and Events

- ▶ **National Occasions:** Participation in celebrations marking the UAE National Day, Flag Day, and Emirati Women's Day, reinforcing national identity and pride.
- ▶ **Dubai Fitness Challenge (Dubai 30x30):** Achieved second place at the Authority level and organized two walking events to encourage employee participation.
- ▶ **Sports Activities:** Participation in a variety of sporting events, including the Dubai Mallathon, bowling tournaments, golf competitions, and cycling activities.
- ▶ **Institutional Cohesion:** Organizing participation in the Authority's Annual Winter Camp to strengthen communication and engagement outside the workplace.

Strengthening Community Compliance

The Authority's initiatives reflect a firm commitment to simplifying the customer journey and strengthening strategic partnerships with the tax community in support of the Zero Government Bureaucracy Programme.

- ▶ **Supporting Zero Bureaucracy:** Three awareness workshops were held as part of the Zero Bureaucracy initiative, focusing on product registration and Excise Tax procedures.
- ▶ **"Simplifying Procedures" Initiative:** A workshop entitled "Simplifying Procedures" was organized.

Academic Engagement and Knowledge Sharing

- ▶ **Academic Seminars:** A seminar entitled "Tax Disputes through Administrative Means" was organized in collaboration with the College of Law at Abu Dhabi University.
- ▶ **Professional Collaboration:** Seminars on Corporate and Business Tax Parameters were organized in cooperation with the Emirates Association for Lawyers and Legal Professionals.

Proactive Taxpayer Awareness

Through its Awareness and Education Section, the Taxpayer Services Department continued its efforts to proactively and efficiently educate taxpayers, enhance the efficiency of the tax system, and facilitate tax compliance through specialized programmes and workshops targeting various segments of society. These initiatives contributed to strengthening trust and partnership with taxpayers. Key achievements in this area included:

- Achieving a taxpayer satisfaction rate of 93.5%, exceeding the target of 90%.
- Delivering 210 tax awareness workshops, compared to 178 workshops in 2024.
- Expanding the target audience of workshops under the Community Tax Sciences Project to include senior citizens, individuals approaching retirement, women, and home-based business owners.
- Conducting 20 workshops under the Zero Bureaucracy Initiative during the second half of 2025.
- Organizing 3 dedicated awareness workshops on Reconsideration Requests.
- Reaching 122,710 beneficiaries through awareness and education programmes.
- Organizing 3 Tax Agents Forums in both Arabic and English.



Promoting a Cybersecurity Culture

As part of its efforts to strengthen cybersecurity awareness, governance practices, and strategic partnerships, the Authority implemented a number of supporting initiatives and activities, including:

- ▶ Organizing a Digital Data Classification Seminar to raise awareness among users regarding the Authority's data security classification requirements and procedures.
- ▶ Conducting periodic cybersecurity awareness workshops for Authority employees and disseminating awareness messages to taxpayers to mitigate relevant cyber risks.

Promoting Corporate Social Responsibility



The Taxpayer Office implemented 11 initiatives and events aimed at promoting social responsibility and fostering a positive work environment that encourages innovation and continuous development. Key initiatives included:

- ▶ Launching the Happiness Team Survey to measure employee satisfaction.
- ▶ Implementing employee recognition initiatives and celebrating employees on personal occasions.
- ▶ Organizing events to mark the International Day of Happiness and Emirati Women's Day.
- ▶ Facilitating remote working arrangements on selected occasions to enhance workplace flexibility and employee well-being.

6 Initiatives for Tax Refund Transactions



VAT Refund Service for Registered Persons

- ▶ Automating the approval of refund applications through Robotic Process Automation (RPA) and artificial intelligence technologies for low-risk VAT registrants.

VAT Refund Service for UAE Nationals Constructing New Residences

- ▶ Revising procedures for reviewing VAT refund applications relating to the construction of UAE nationals' residences.
- ▶ Reducing the number of mandatory fields required when submitting VAT refund applications for newly constructed residences through the EmaraTax platform.
- ▶ Enhancing the Maskan application through the automatic population of invoice details into citizens' accounts once issued by registered suppliers.
- ▶ Launching a proactive service for UAE nationals constructing or completing their private residences, whereby VAT refund applications are automatically generated through the Maskan application in two cases: upon issuance of a Building Completion Certificate by the relevant municipality and upon issuance of a Building Permit for the citizen.
- ▶ Sending SMS and email notifications to citizens after the refund application has been created, informing them of the service and providing a link or QR code to access the application and complete the process.
- ▶ Enhancing the customer experience within the Maskan application while ensuring the accuracy and integrity of data maintained in the Authority's systems.

VAT Refund Service for Tourists

- ▶ 8 self-service VAT refund kiosks added during 2025.
- ▶ Several enhancements implemented to the Tourist VAT Refund application, including:
- ▶ User journey for registration and login processes completely redesigned, enabling tourists to register on the application before making their first purchase and even prior to arriving in the UAE.
- ▶ Tourists enabled to verify their eligibility for VAT refunds directly through the application dashboard immediately upon arrival in the UAE.

Tax Refund Service for Embassies, Diplomatic Missions, Diplomatic Bodies and International Organizations

- ▶ Re-engineering the procedures governing tax refund services for embassies, diplomatic missions, diplomatic bodies, and international organizations.
- ▶ Establishing integration between the Federal Tax Authority's system and the Ministry of Foreign Affairs (MoFA) system.

VAT Refund Service for Mosque Operating Expenses

- ▶ The system upgraded to reduce the number of fields required when submitting refund applications relating to mosque maintenance and operating expenses.

VAT Refund Service for Foreign Business Visitors

- ▶ Revising operational procedures for the Foreign Business Visitors Refund Service.
- ▶ Reducing the review period for refund applications from 120 days to 40 days.



CHAPTER SEVEN

AWARDS AND INTERNATIONAL ACCREDITATIONS

A Legacy of Excellence: Leadership Reflected in Distinguished Achievements

The Authority's annual journey culminated in a series of distinguished achievements and prestigious recognitions that reflect the maturity of its institutional ecosystem and its exceptional ability to compete at both the national and regional levels. From the recognition bestowed by the UAE's leadership upon the team responsible for developing the national tax system, to receiving awards for financial innovation and human resources excellence, the Authority continues to demonstrate its leadership in meeting the highest international standards and certifications. Its achievement of advanced rankings in future workplace readiness and cybersecurity infrastructure protection, coupled with a zero-risk performance indicator, represents more than numerical accomplishments; it is tangible evidence of a culture of excellence that has become firmly embedded across the organization, ensuring financial efficiency, customer satisfaction, and the sustainability of digital leadership within the Government of the Future.

Excellence Certifications and Accreditations

The Authority obtained a number of prestigious certifications, including:

- ▶ The “Government Innovative Organization” Certification – Advanced Level, awarded following an assessment conducted by the Global Innovation Institute (GII).
- ▶ Intellectual Property Certificate for the “Muwafaq” package.
- ▶ Certifications in Institutional Agility, Resilience, and Proactivity.
- ▶ LEED Gold Certification.



Achieving a Series of International Standards

The Authority continued to maintain and expand its portfolio of internationally recognized standards that support operational excellence and sustainable institutional performance.

Continued certification under the following international standards:

- ISO 9001 – Quality Management System.
- ISO 27001 – Information Security Management System.
- ISO 20000 – Information Technology Service Management System.
- ISO 22301 – Business Continuity Management System.
- ISO 56002 – Innovation Management System.
- ISO 44001 – Collaborative Business Relationship Management System.
- ISO 31000 – Risk Management.

Newly obtained international certifications:

- BS 95009:2019 – Procurement in the Public Sector.
- ISO 10004:2018 – Customer Satisfaction Monitoring and Measurement.

Certification under ISO 27001:2022 for the Information Security Management System.

Certification under BS 95009:2019 for Public Procurement.

Institutional Leadership and Prestigious Awards

The Authority continues to foster a culture of excellence and innovation through the receipt of prestigious awards and the continuous measurement of stakeholder satisfaction, reflecting the maturity of its administrative and financial systems and its ability to compete at the national and regional levels.

- ▶ Winner of the Excellence in Learning and Development Award – Best Practices in Human Resources Category at the SHRM MENA STAR Awards.
- ▶ Winner of the inaugural Zero Government Bureaucracy Award, with the Authority's Zero Bureaucracy Team securing first place in the “Impact on the Business Sector” category.
- ▶ Ranked third among UAE federal government entities in the Future Workplace Readiness Index 2024.
- ▶ Recipient of Middle East & North Africa Stevie Awards.
- ▶ Launch of the third edition of the Pioneers Excellence Award 2025 to promote an inspiring work environment and foster a competitive culture based on creativity, innovation, and excellence in delivering the Authority's services and initiatives.
- ▶ FTA won three institutional and individual awards at the Arab level through the Sharjah Award for Public Finance, receiving the “Distinguished Entity in Financial Innovation” Award, as well as two individual awards: “Distinguished Arab Tax Director” and “Distinguished Arab Procurement and Contracts Director”.
- ▶ More than 120 surveys were conducted to measure stakeholder awareness and satisfaction across various internal areas, including:
 - Evaluation of internal services and systems.
 - Employee happiness and satisfaction.
 - Satisfaction with initiatives and events across the Authority.

The Authority received several distinguished recognitions and achieved advanced rankings reflecting its success in developing the UAE's tax ecosystem and enhancing quality of life.

- Recognition of the "UAE Tax System Development Team" by His Highness Sheikh Mohammed bin Rashid Al Maktoum, Vice President, Prime Minister and Ruler of Dubai.
- Inclusion of the Tax Policy and International Agreements Department within the scope of the Authority's Excellence Certificates, Government Accreditations, and International ISO Certifications awarded in 2025.
- Recognition of the Department during the annual forum honoring the "Awareness Materials Preparation Teams" and the "Raqeeb Reports" reviewers.
- Recognition by the UAE Cybersecurity Council for compliance with cybersecurity requirements during the Governance, Risk, and Compliance Summit (GRPC).
- Awarded "Highly Commended" recognition in the Sustainable Procurement category by the Chartered Institute of Procurement & Supply (CIPS) Awards.

- Classified within the First Category of the Vulnerability Disclosure Initiative under the National Cybersecurity Index in the operational domain related to the protection and security of cybersecurity infrastructure, as announced during the CyberQ Conference.
- Achieved the highest result in the Self-Generated Revenue Forecast Accuracy Indicator during 2025 compared to previous years, at a rate of 100%.
- Recorded the strongest performance across the 2025 risk indicators, with the overall risk index reduced to 0%.
- Recognized as the Best Entity in Achieving the 10% Target for Awarding Contracts to Small and Medium Enterprises (SMEs).



CHAPTER EIGHT

INSTITUTIONAL EXCELLENCE AND HUMAN CAPITAL DEVELOPMENT

Investing in the Future: National Talent and Proactive Readiness

The FTA's continued success is driven by a forward-looking strategy that places national talent at the heart of its institutional development agenda. Through record Emiratisation rates and significant investment in specialised learning and development programmes exceeding 40,000 training hours, the Authority continues to strengthen its human capital capabilities. This commitment is complemented by the development of a resilient institutional framework designed to ensure operational continuity under all circumstances, supported by advanced cybersecurity safeguards, secure digital infrastructure, and proactive readiness testing. By combining leadership development, effective risk governance, and continuous improvements in financial and administrative performance, the Authority reinforces its long-term sustainability and cultivates a workplace distinguished by excellence, wellbeing, productivity, and trust.

FTA adopts an integrated strategy to attract, develop, and empower top talent while delivering efficient institutional services and digital infrastructure that enhance the work environment:

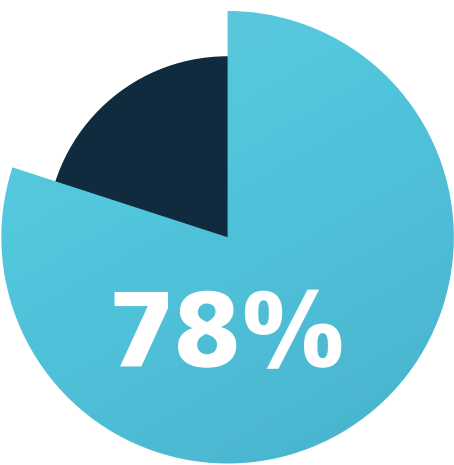
Workforce Diversity:



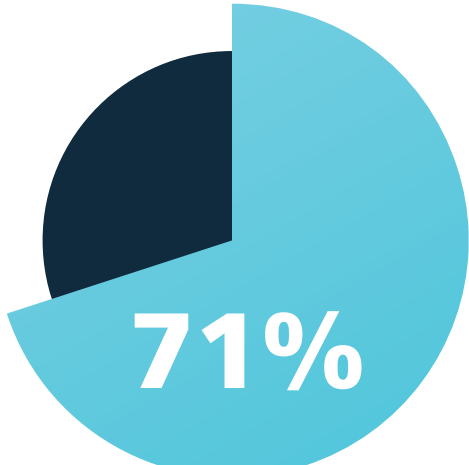
837 Employees representing 33 nationalities.



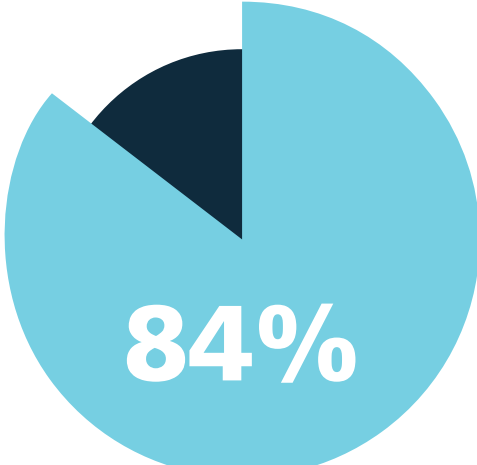
455 Female employees.
382 Male employees.



Emiratization rate, representing a total of 650 UAE national employees.



Of the Authority's workforce consists of youth employees.



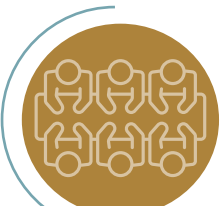
Score in the Workplace Readiness Index.

Professional Development



Training 100%

Of employees, totalling 40,067 training hours, with an average of 51 training hours per employee.



Training of 322

Employees to obtain accredited professional and specialised certifications.



Training of 381

Employees in tax-related disciplines, including VAT, Corporate Tax, and Accounting, totaling 13,738 training hours.



Development of 44

Authority leaders and preparation of 11 second-line leaders.



Obtained 148

Accredited professional and specialized certifications.



Happiness rate with training and development programmes.

"Tomouh" Programme:
Graduation of 19 newly recruited employees following training in communication skills, professional etiquette, project management, and writing and presentation skills.

Talent Acquisition and Recruitment

Recruitment of 223 New employees during 2025, including 177 UAE nationals.

Conducting more than 2,000 Job interviews.

Participation in 5 Recruitment fairs.

Performance Excellence and Governance



12 Workshops organised across organizational units on the Authority's operational procedures.



Participation in BRICS Working Group meetings to exchange and showcase best practices in human resources management.

Operational Readiness and Business Continuity

FTA adopts an integrated framework to strengthen institutional resilience and technical readiness through proactive exercises designed to ensure the continuity of critical services and the protection of digital infrastructure under various operational and emergency scenarios.

- Successfully completed comprehensive testing for the transfer and operation of all systems and digital services from the primary data centre to the alternative disaster recovery site.
- Successfully conducted recovery testing for key systems, including the Digital Tax Stamp (DTS) System and the Tourist VAT Refund Service (Planet).
- Conducted, for the first time, a comprehensive simulation exercise addressing the “sudden unavailability of critical employees”, demonstrating the Authority’s ability to continue delivering services without interruption.
- Activated the GRCP System in April 2025 to digitally manage all risk-related processes, enhancing early warning capabilities through Key Risk Indicators (KRIs).
- Conducted evacuation drills and emergency response scenarios across Authority locations to ensure the highest standards of safety and security.

Promoting Strategic Thinking and Institutional Excellence

FTA adopts an advanced approach to performance management and future foresight by equipping its workforce with modern planning tools and developing strategic visions that ensure continued leadership and sustainable institutional excellence.

- **Strategic Plan Retreat 2027–2029:**
A leadership forum for shaping future directions and aligning national priorities with the Authority’s institutional aspirations.
- **Performance Management:**
Delivery of specialized workshops for employees aimed at enhancing task execution efficiency and improving service quality.
- **Fostering a Future Foresight Culture:**
Launch of awareness campaigns and educational publications to strengthen understanding of proactive planning concepts across all work teams.
- **Partner Relationship Management and ISO 44001:2017 Requirements:**
Organization of awareness workshops to ensure compliance with the highest international standards in the development and management of strategic partnerships.
- **Sustaining Readiness:**
Delivering qualitative outputs that support informed decision-making and enhance the Authority’s ability to achieve its ambitious objectives efficiently and effectively.

Enhancing Internal Operations and Governance

In line with our vision of building a resilient institution capable of adapting to evolving challenges, significant progress has been achieved in strengthening governance, control, and technology frameworks. The following achievements highlight the Authority’s success in balancing institutional development with business continuity and security requirements:

- **GRCP System:**
Performance, Risk, Compliance, and Business Continuity modules reached an implementation rate of 92%.
- **Business Process Re-engineering:**
Achieved 65% completion in workflow enhancement initiatives and operational cost optimization.
- **Infrastructure Modernization:**
Reached 70% completion of the Data Centre Modernization and Cybersecurity Solutions Project.



Leadership in Institutional Governance and Proactive Readiness

FTA continues to reinforce a sophisticated governance framework through the activation of strategic committees and leadership forums that ensure alignment with the highest standards of quality, risk management, and institutional excellence.

- **Strengthening Enterprise Risk Management, Crisis Management, and Disaster Management:**

Meetings of the Enterprise Risk Committee, chaired by the Director General, were held to monitor the Authority's most significant risks, review mitigation plans for high and very high risks, assess Key Risk Indicator (KRI) results on a quarterly basis, and monitor risk status across organizational units. The Committee also discusses challenges and provides recommendations and solutions related to the implementation of the Authority's Enterprise Risk Management framework, principles, and processes. In parallel, the Crisis and Disaster Management Steering Committee convenes regularly to oversee the Business Continuity Management System and Crisis Management Framework, reviewing institutional readiness and corrective action plans arising from exercises and tests.

- **Crisis Management and Business Continuity:**

Conducted four Steering Committee meetings to oversee the integration of emergency plans and the continuous enhancement of response scenarios in line with international best practices.

- **Supporting Excellence:**

Organized 20 mentoring sessions for nominees of the "Pioneers Excellence Award", providing technical guidance and supporting effective participation in the award programme.

- **Performance Monitoring:**

Held a series of comprehensive meetings with all Authority departments to review and enhance operational performance indicators and service quality outcomes.

- **Awareness and Preparedness:**

Approved and implemented specialized annual training programmes to enhance employee awareness of Enterprise Risk Management and Business Continuity Management frameworks.

- Delivered 15 workshops and training programmes covering Enterprise Risk Management and the Business Continuity Management System.
- 16 employees obtained the Certified Lead Implementer qualification for the AE/SCNS/NCEMA 7000) Standard issued by the National Emergency Crisis and Disaster Management Authority (NCEMA).



Strengthening Governance, Oversight, and Institutional Awareness

The achievements of the Internal Audit Office during 2025 reflect a steadfast commitment to enhancing the governance framework. Significant efforts were dedicated to updating organizational frameworks and policies to ensure the highest standards of transparency and accountability. In parallel, the Office successfully fostered a preventive culture through comprehensive awareness programmes, while achieving notable financial efficiency through a 35% reduction in operating costs without compromising audit quality or effectiveness.

- ▶ The Internal Audit Office Operations Manual was developed, updated, and approved to align with recognised best practices and strengthen the Authority's governance framework.
- ▶ Policy of Communication with the Audit Office was developed and approved to establish a defined and transparent framework for communication with organisational units.
- ▶ 10 awareness workshops were delivered to promote understanding of internal audit principles and fraud prevention.
- ▶ 9 awareness presentations delivered to organisational units on the Office's operating model, mandate, and added value.
- ▶ Awareness communications were issued to promote understanding of fraud prevention and internal audit practices.
- ▶ Office employees participated in two international conferences focused on internal auditing during 2025.

The Tax Audit Department conducted more than 790 internal meetings to discuss operational matters and cases related to audit activities.

Enhancing Digital Readiness and Knowledge Transfer

Institutional excellence is founded on ensuring that human capital is fully prepared to adapt to technological transformation through intensive knowledge-transfer programmes and technical capability-building initiatives targeting frontline employees and technical teams.

- ▶ 6 specialized awareness workshops conducted for Authority employees to ensure the optimal use of newly developed digital systems.
- ▶ 12 joint knowledge-transfer workshops held with the Contact Centre to ensure the provision of accurate and timely technical support to customers.
- ▶ Proactive training sessions organized to explain system enhancements prior to their official launch.



Training programmes delivered by the Registration Department, benefiting 948 trainees.

Financial Efficiency

- 20 Specialized workshops and training programmes were organized to enhance financial efficiency and develop human capital capabilities of.
- 93% Employee satisfaction rate for the Financial Affairs Department's services.

Strengthening the Cybersecurity Framework

FTA continues its efforts to strengthen the cybersecurity system by enhancing cyber incident response readiness and advancing continuous monitoring and oversight processes across systems. These efforts contribute to safeguarding the Authority's digital infrastructure and ensuring the reliable and uninterrupted delivery of its services. Key cybersecurity achievements and performance indicators included:



The Authority also launched a number of innovative projects and initiatives, most notably:

- Cybersecurity Monitoring Services Project.
- Cyber Incident Monitoring and Response System Project.
- Cybersecurity Awareness Programme Project.
- Cyber Threat Intelligence Platform Project.
- Application and Infrastructure Penetration Testing Project.

Institutional Excellence:

- Restructuring the Quality and Training Teams to improve operational efficiency and ensure the delivery of high-quality services.
- Developing quality monitoring systems that enable performance tracking and analysis to ensure service excellence and customer satisfaction.
- Developing a comprehensive knowledge base to facilitate access to information and improve response times to customer inquiries.
- Meeting the standards and requirements of the Global Star Rating System for Services to ensure service quality and enhance customer experience.
- Launching an initiative to improve customer satisfaction levels across service channels.
- Supporting external departments in responding to complaints.
- Holding 15 internal meetings to coordinate activities and monitor the implementation of projects and programmes.
- Launching the Employee Happiness Programme and forming an internal Happiness Team.

Enhancing the Workplace Environment

FTA continues to strengthen its operational readiness through the development of its offices in Dubai and Ajman within record implementation timeframes, increasing office capacity and ensuring the sustainability of its geographic and operational expansion.

- ▶ Successful upgrade of the Authority's infrastructure and expansion of office capacity by 25%.
- ▶ Delivery of the Authority's new offices in Dubai Outsource City, comprising three floors, within 90 working days.
- ▶ Delivery of the Authority's new offices – Ajman Branch.

CHAPTER NINE

GOVERNMENT COMMUNICATION

FTA's Voice: Smart Communication and Sustainable Awareness

FTA is redefining the concept of government communication by leveraging smart and direct communication channels as a strategic tool to empower stakeholders and enhance tax compliance. Through an advanced digital ecosystem that delivered more than 65 million SMS and email communications, alongside thousands of field outreach activities, the Authority successfully built continuous knowledge bridges with taxpayers to ensure the accurate submission of tax returns and adherence to statutory deadlines. This role extends beyond procedural reminders to encompass the promotion of legal and tax awareness through a series of specialised and scholarly publications featured on national and judicial platforms, reinforcing the transparency of the tax system and strengthening the Authority's position as a trusted source of knowledge within the economic landscape.

Enhancing Tax Awareness and Expanding Community Impact

The Government Communication Department at the Federal Tax Authority adopts an integrated strategic approach aimed at strengthening institutional trust and deepening tax awareness among all segments of society and the business community. Throughout 2025, the Department implemented a comprehensive communications framework focused on digital transformation, the development of media tools, and the enhancement of internal performance, further reinforcing the Authority's reputation as a leading and transparent institution in the administration of the national tax system.

Media Presence and Digital Expansion

Throughout 2025, the Authority continued to strengthen its digital and media presence by publishing 2,980 social media posts, contributing to greater awareness and engagement among target audiences.

The Authority's social media platforms recorded significant growth, attracting 48,280 new followers, reflecting the expansion of its audience base and increasing interest in its awareness content.

The Authority achieved strong digital performance across its platforms, recording increases in engagement rates, viewership, and content reach, demonstrating the effectiveness of its digital communication strategies.

Influencer campaigns generated 706,767 views, achieved a total reach of 275,037, and recorded 33,599 interactions, with an average engagement rate of 4.15%, through collaborations with a number of social media influencers.

Multiple digital awareness campaigns were implemented to broaden outreach and strengthen tax compliance through clear and direct messaging.



Social media platforms

															
2024	2025	Change %		2024	2025	Change %		2024	2025	Change %		2024	2025	Change %	
Total Followers	3,940	5,506	%39.7	28,720	35,349	%23.1		8,587	8,923	%3.9		75,537	109,309	%44.7	
Follower Growth	455	1,566	%244.2	5,300	6,447	%21.6		366	331	%9.6-		19,724	36,408	%84.6	
Views / Reach	5,103	77,015	%1,409.4	19,966	38,643	%93.6		4,101	9,250	%125.6		322,098	184,853	%42.6-	
Views and Reach Percentage	%3	%1	%66.7-	%0.2	%0.6	%200		%4	%5.3	%32.5		%15.2	%8.3	%45.4-	
Impressions	172,920	7,999,410	%4,525.1	9,184,243	6,217,746	%32.3-		103,565	175,477	%69.4		2,116,443	2,228,917	%5.3	

											
2024	2025	Change %		2024	2025	Change %		2024	2025	Change %	
Total Followers	10,600	14,488	%36.7	-	4,457	-		2,841	2,833	%0.3-	
Follower Growth	1,819	4,000	%119.9	-	308	-		-	8-	-	
Views / Reach	-	5,378	-	-	333	-		-	1,107	-	
Views and Reach Percentage	-	%28	-	-	%4	-		-	%0.1	-	
Impressions	-	1,423,402	-	-	2,414	-		-	1,960,576	-	

Collaboration with Social Media Influencers

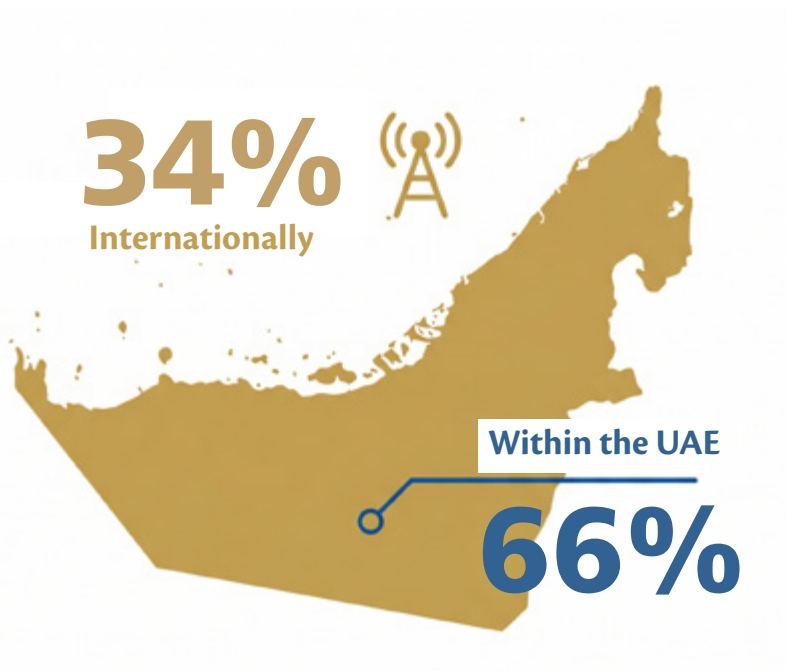


Media Coverage and Institutional Visibility

FTA maintained a strong presence across various media channels during 2025, during which it:



A total of 724 news articles were published across traditional media outlets, distributed geographically as follows:



Media Coverage

Month	January	February	March	April	May	June	July	August	September	October	November	December
FTA Direct news coverage (issued by various entities)	172	161	271	81	157	91	314	305	100	607	119	220
In Arabic	%52	%82	%53	%42	%50	%45	%46	%59	%59	%29	%53	%62
In English	%47	%17	%44	%53	%50	%54	%52	%41	%39	%70	%45	%38
Other languages (Spanish, Hindi)	%1	%1	%3	%5	%0	%1	%2	%0	%2	%1	%2	%0
Within the UAE	%66	%59	%65	%70	%73	%55	%64	%63	%63	%66	%61	%61
Outside the UAE	%34	%41	%35	%30	%27	%45	%36	%37	%37	%34	%39	%39
Direct news releases issued by FTA in traditional media	4	7	7	1	4	1	3	5	1	7	2	4



Media coverage was delivered in Arabic, English, and other languages, enabling broader audience reach.

FTA achieved a **99%** Positive media coverage rate, reflecting its strong institutional reputation and positive perception among media outlets.



Website and Direct Communication Channels

FTA's website continued to play a pivotal role, attracting



2.6 Million Visitors during the year.

To further strengthen direct engagement:



238 E-mail communications were sent.



226 SMS notifications were sent.

Awareness and Marketing Campaigns

The Authority implemented 24 awareness and marketing campaigns during 2025, covering a broad range of topics, including:

- ▶ Corporate Tax Returns.
- ▶ Administrative Penalty Relief for Late Registration.
- ▶ Tax Data Updates.
- ▶ VAT on Real Estate Transactions.
- ▶ Zero Government Bureaucracy Programme.
- ▶ Excise Goods Registration.

These campaigns were designed to simplify procedures, improve compliance levels, and enhance awareness of tax obligations.

In addition, the Authority launched 12 monthly newsletters, distributed through email, the official website, and internal communication platforms, covering key developments and services.



Tax Awareness Initiatives

The Authority implemented a wide range of awareness and media campaigns throughout 2025 aimed at increasing understanding of the tax system and strengthening compliance through multiple communication channels..

Campaigns addressed a variety of topics, including:

- ▶ Corporate Tax.
- ▶ Value Added Tax (VAT).
- ▶ Excise Tax.
- ▶ Tax Data Updates.
- ▶ Relief from Late Registration Penalties.
- ▶ Natural Persons Registration.
- ▶ VAT on Real Estate.
- ▶ Enhanced Excise Goods Platform.
- ▶ Zero Government Bureaucracy Programme.
- ▶ Cybersecurity.
- ▶ Open Data.
- ▶ UAE Tax Agent Programme.
- ▶ UAE Innovation Month.
- ▶ Common Errors.

Digital Community Engagement

The Authority activated digital engagement channels to strengthen interaction with the community through:

- ▶ Launching 4 public consultations.
- ▶ Conducting multiple opinion surveys.

Opinion Polls

(4)



How satisfied are you with the FTA's Call Centre?

What is your preferred channel for receiving information and news from the FTA?

What are your preferred methods for receiving information through the FTA's social media channels?

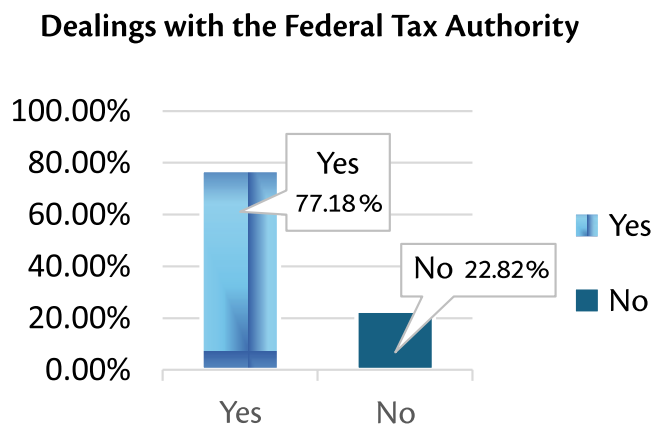
What type of data would you like to access on the Open Data page on the FTA's website?

One of the key public consultation sessions attracted 206 participants, with results indicating:

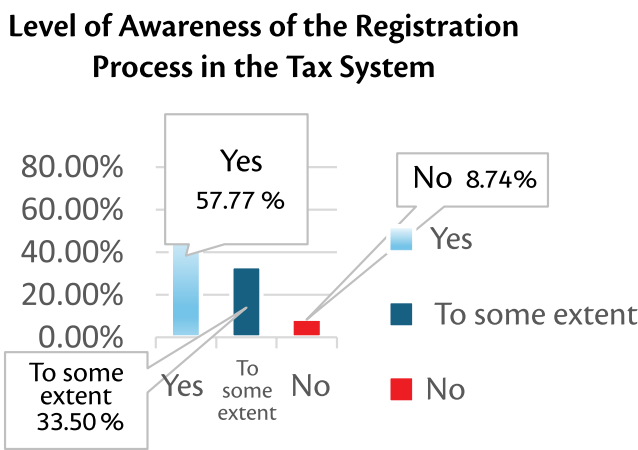
- ▶ Good to high levels of awareness of tax systems.
- ▶ Strong understanding of the role of technology in supporting compliance.
- ▶ Awareness of the “Raqeeb” reporting system for violations.

Additional findings showed that the majority of participants had prior experience interacting with the Authority.

Public Opinion on the Federal Tax Authority's Tax Awareness Efforts for Registration in the Tax System



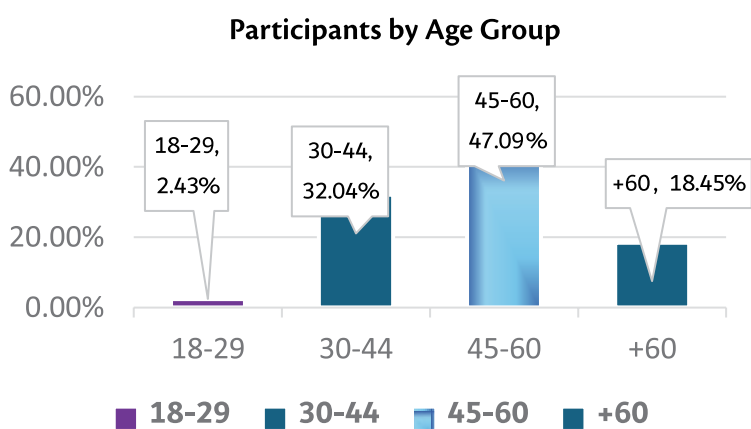
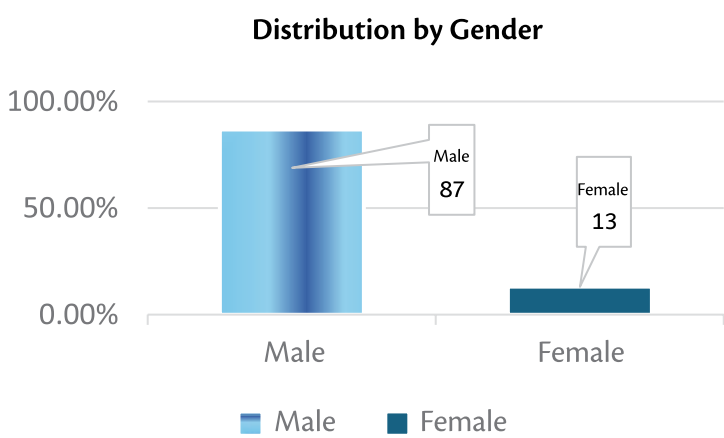
This indicates that the majority of participants have prior experience or previous dealings with the Authority.



The results indicate that the majority of participants have a good or moderate level of awareness of the registration process in the tax system.

Public Opinion on the Federal Tax Authority's Tax Awareness Efforts for Registration in the Tax System

A total of 206 participants from various segments of society took part in the consultation.



The results show that the majority of participants were between the ages of 30 and 60.

Events and Institutional Activities

The Authority organized **110** internal and external events during 2025, including participation in major events such as **GITEX Global 2025**.

In addition:



139

Media coverage
(photography and
videography)



65

Internal announcements
to promote events and
activities

Events achieved an average **89%**
satisfaction rate of

Internal Communication

FTA continued to strengthen its workplace environment through active internal communication channels, including:

- ▶ Internal email communications.
- ▶ Newsletters.
- ▶ Employee communication groups.

These channels contributed to improved information flow and enhanced employee engagement.

Promoting Legal and Tax Awareness

▶ Published Contributions:

A series of specialized articles were published in Al Meezan Magazine, issued by the Ministry of Justice (April, September, and October 2025 editions), to enhance tax awareness.

▶ Scholarly Articles:

Articles covering virtual currencies and tax revenues, as well as tax treaties and national tax legislation were published.



Performance and Satisfaction Indicators

As part of its commitment to developing human capital and maintaining the highest standards of government performance, the Department achieved several positive indicators reflecting its dedication to excellence:

▶ Strategic Performance:

The organizational unit achieved a performance score of 98% under the performance management framework approved by the Prime Minister's Office, demonstrating strong execution of operational plans.

▶ Talent Development:

Delivered 5 specialized training programmes for departmental employees, achieving a 100% training completion rate and ensuring workforce readiness to contribute to the Authority's objectives.

The Authority leveraged smart and direct communication channels to strengthen tax awareness, providing extensive technical and awareness support to taxpayers to facilitate tax return filing and ensure compliance with statutory deadlines.

